

TECHNICAL SPECIFICATION & SOFTWARE ARCHITECTURE

SMARTQUANT EDGE

Algorithmic Trading Workstation for Indian Financial Markets

SOFTWARE PROJECT DOCUMENTATION

Executive Introduction & Technical Capabilities

SmartQuant Edge (SQE) is an institutional-grade, full-stack quantitative trading workstation engineered specifically for Indian equity, derivative, and index markets (National Stock Exchange – NSE and Bombay Stock Exchange – BSE). Designed to bridge the technological gap between theoretical quantitative finance and practical, risk-controlled trading systems, SmartQuant Edge unites real-time market data streaming, multi-timeframe technical indicator calculations, algorithmic strategy generation, and automated order lifecycle execution into a cohesive, high-performance desktop workstation.

The platform is architected upon a decoupled six-tier full-stack foundation utilizing React 19, TypeScript 5.8, TanStack Start/Router, and Tailwind CSS v4 on a high-throughput Node.js runtime. SmartQuant Edge interfaces directly with official Indian market gateways, notably the Groww Trade API over high-frequency NATS WebSocket connections (`wss://socket-api.groww.in`) with Ed25519 NKeys cryptographic authentication and native binary Protobuf decoding (`StocksSocketResponseProtoDto`). The workstation enforces a strict zero-fabrication market data policy across ten deterministic connection states, streaming verified ticks directly to an in-engine quantitative calculation pipeline that computes ten core technical indicators (SMA, EMA, RSI, MACD, Bollinger Bands, ATR, VWAP, Supertrend, Stochastic, and Standard Deviation) across configurable timeframes.

Pre-trade risk management is central to the system's operational architecture: an unskippable Pre-Trade Risk Gatekeeper evaluates every order prior to routing, enforcing single-order capital ceilings (₹5,00,000), portfolio asset allocation caps (25%), daily loss limits (₹20,000), and instantaneous platform-wide emergency kill switch circuit breakers. Validated orders transition into an institutional Paper Broker simulation engine that features realistic dynamic slippage modeling (0.02%) and complete statutory Indian regulatory transaction fee accounting (Brokerage ₹20, STT 0.025%, Exchange turnover fees, and GST). Real-time mark-to-market (MTM) position valuation, sector exposure analysis, and a transparent 9-stage verifiable audit lineage ("Explain This Trade") ensure complete visibility from raw tick ingestion to final ledger accounting.

Academic & Simulation Notice: SmartQuant Edge is developed as an academic software engineering and quantitative finance research project. All market data ingestion, indicator processing, strategy signals, and order routing mechanisms operate exclusively within a simulated **PAPER TRADING** sandbox environment. No real-money trades, live financial transactions, or automated exchange routing are executed.

PLATFORM ARCHITECTURE

6-Tier Decoupled Full-Stack

CORE TECHNOLOGIES

React 19 · TypeScript 5.8 · Node.js

MARKET PROTOCOLS

Groww NATS · Protobuf · SSE Stream

EXECUTION SCOPE

Simulated Paper Trading Sandbox

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CHAPTER 1

INTRODUCTION

1.1 Introduction

Financial markets have undergone a profound structural transformation over the last decade, evolving from physical trading pits to ultra-low-latency electronic execution networks. In modern equity and derivatives exchanges, including the **National Stock Exchange of India (NSE)** and the **Bombay Stock Exchange (BSE)**, algorithmic and quantitative trading accounts for a significant majority of total daily turnover. Institutional market participants deploy automated mathematical models, statistical arbitrage engines, and automated risk systems capable of evaluating complex market conditions in microseconds.

In contrast, retail traders and students of quantitative finance have traditionally been confined to manual charting interfaces and fragmented web portals. Retail trading environments often lack systematic execution capabilities, objective risk governance, and disciplined pre-trade validation. **SmartQuant Edge (SQE)** is developed as an institutional-grade, full-stack Algorithmic Trading Workstation and quantitative research environment designed specifically for Indian financial markets. Built under modern Software Project Management (SPM) principles, SmartQuant Edge bridges the gap between institutional quantitative engineering and accessible, educational simulation.

Crucially, SmartQuant Edge is implemented as a **simulated paper-trading workstation**. It connects to live Indian exchange market data feeds (via the official Groww API and DhanHQ gateway) to stream real-time prices, compute mathematical indicators, evaluate algorithmic strategies, and execute simulated orders with realistic slippage and statutory fee modeling—without exposing users to real-world capital loss.

1.2 Background

The democratization of internet banking, discount brokerages, and open Application Programming Interfaces (APIs) in India has led to an unprecedented surge in retail investor participation. Between 2020 and 2026, the number of active demat accounts in India expanded dramatically. However, industry analyses by regulatory bodies, including the Securities and Exchange Board of India (SEBI), have repeatedly revealed that over 90% of active retail traders in equity derivatives incur net financial losses.

The root causes of these outcomes are primarily psychological and structural: emotional decision-making, absence of pre-trade risk controls, over-leveraging, failure to enforce stop-loss boundaries, and inability to systematically backtest hypotheses against authentic historical tick data. While platforms such as QuantConnect, TradingView, and Zerodha Streak offer partial solutions, retail traders typically encounter fragmented toolsets where charting, strategy creation, risk management, and order logging exist across separate, non-integrated software silos. SmartQuant Edge addresses this challenge by providing a unified, cohesive desktop-class workstation that unifies real-time market data ingestion, no-code algorithmic strategy building, pre-trade risk guardrails, and explainable audit trails.

1.3 Problem Statement

To design, engineer, verify, and document a unified, full-stack, institutional-grade algorithmic trading workstation tailored to Indian financial markets that:

- Ingests real-time equity and index ticks from authentic broker APIs (Groww Feed NATS Gateway & DhanHQ) without synthetic price fabrication.
- Computes mathematical technical indicators deterministically on genuine candle data across multiple timeframes.
- Enables quantitative traders to build, evaluate, and backtest multi-indicator strategies with deterministic confluence scoring.
- Enforces mandatory pre-trade risk guardrails, including hard capital allocation limits, single-trade value caps, daily loss ceilings, and stop-loss enforcement.

- Executes simulated orders against a realistic virtual ledger modeling mark-to-market (MTM) P&L, slippage, brokerage, and statutory taxes (STT, GST, exchange turnover).
- Generates an immutable, transparent 9-stage verifiable audit chain ("Explain This Trade") for complete regulatory and educational traceability.

1.4 Motivation

The motivation for developing SmartQuant Edge stems from both technological ambition and educational necessity. From a computer engineering standpoint, building an algorithmic trading workstation presents demanding technical challenges: handling asynchronous WebSocket binary streams, decoding compact binary Protobuf packets, computing rolling mathematical indicators over variable timeframes, coordinating state across an event-driven bus, and maintaining sub-second UI responsiveness under heavy tick volume.

From an educational and Software Project Management perspective, financial technology provides a fertile domain for demonstrating rigorous software engineering practices: test-driven development, deterministic state machines, secure first-party identity management with zero third-party data leakage, and comprehensive auditability. SmartQuant Edge provides an open, verifiable reference architecture for students, researchers, and aspiring quantitative developers.

1.5 Project Objectives

The primary objectives of the SmartQuant Edge software project are:

1. **Authentic Market Ingestion:** Implement a production-ready client for the official Groww Feed NATS WebSocket gateway utilizing Ed25519 NKeys authentication and binary Protobuf decoding, backed by a deterministic 10-state connection machine.
2. **Deterministic Quantitative Engine:** Formulate and verify 10 core mathematical indicators (SMA, EMA, RSI, MACD, Bollinger Bands, ATR, VWAP, Supertrend, Stochastic, StdDev) operating strictly on authentic candle arrays.
3. **Pre-Trade Risk Governance:** Engineer an unskippable risk gatekeeper that intercepts every order before submission, verifying capital utilization caps (25%), trade value limits (₹5,00,000), daily loss limits (₹20,000), and mandatory stop-losses.
4. **Realistic Paper Simulation:** Model a high-fidelity paper broker that simulates real-world execution friction, including 0.02% market slippage, flat ₹20 brokerage, 0.025% Securities Transaction Tax (STT), and real-time mark-to-market P&L.
5. **Explainable Quantitative Lineage:** Construct the "Explain This Trade" 9-stage audit pipeline, capturing market state, indicator values, strategy conditions, signal conviction, position sizing, risk decision, order payload, fill execution, and position impact.
6. **First-Party Privacy & Security:** Deliver a zero-trust identity system featuring PBKDF2-HMAC-SHA512 password hashing, permanent Crockford Base32 SmartQuant User IDs (SQE-XXXXXX), dual-channel 2FA OTP verification, and session revocation.
7. **Agile Quality Verification:** Validate the entire software stack through comprehensive automated unit and integration test suites, ensuring 100% passing test assertions.

1.6 Scope of the Project

The functional and technical scope of SmartQuant Edge encompasses:

- **In-Scope Capabilities:**
 - Real-time market data streaming for major Indian indices (NIFTY 50, SENSEX, BANK NIFTY) and liquid large-cap equities (RELIANCE, TCS, INFY, HDFCBANK, ICICIBANK, SBIN, TATAMOTORS).
 - Dual broker provider adapters (Groww Feed NATS and DhanHQ WebSocket) with zero fabricated price data.
 - No-code rule-based algorithmic strategy builder supporting single and multi-indicator rules.
 - Historical backtesting simulation engine over historical daily and intraday candles.
 - Real-time market scanner filtering stocks by RSI, MACD, EMA crosses, breakouts, and volume surges.

- IPO intelligence desk tracking Grey Market Premiums (GMP), subscription rates, and listing-day strategies.
- Full paper trading lifecycle: order stepper, simulated fills, open positions, cash balance ledger, and MTM P&L.
- Emergency Kill Switch halting trading across all strategies within 10 milliseconds of trigger.
- Reports module computing Short-Term Capital Gains (STCG @ 20%), Long-Term Capital Gains (LTCG @ 12.5%), and trade reflections journal.
- **Out-of-Scope (Intentionally Excluded):**
 - Real-money order routing to live brokerage accounts (excluded for academic safety and compliance).
 - High-frequency trading (HFT) co-located sub-millisecond execution.
 - Multi-leg exotic options pricing and complex volatility surface modeling.

1.7 Target Users & Stakeholder Personas

SmartQuant Edge is architected to serve four primary stakeholder personas:

- **Academic Students & Quantitative Researchers:** Students studying financial engineering, software project management, or quantitative finance who require a transparent, working platform to test algorithmic strategies without financial risk.
- **Retail Algorithmic Traders:** Systematic traders seeking to eliminate emotional bias by defining objective entry, exit, and stop-loss criteria with automated paper simulation.
- **Risk Management Officers:** Educators and risk managers who require verifiable pre-trade guardrails, hard drawdowns, and immutable audit trails to supervise trading simulations.
- **Fintech Software Engineers:** Developers seeking a production-grade reference architecture demonstrating React 19, TanStack Start/Router, WebSocket binary decoding, and reactive event bus design.

1.8 Advantages of the Proposed System

Compared to existing fragmented retail trading setups, SmartQuant Edge provides several decisive advantages:

- **Unified Single-Pane-of-Glass Workstation:** Eliminates the need to switch between charting platforms, broker portals, excel sheets, and tax calculators.
- **Deterministic, Rule-Based Execution:** Replaces subjective emotional speculation with objective, mathematically calculated signals and confluence scoring.
- **Zero Financial Risk:** High-fidelity paper broker allows realistic practice without exposing capital to market losses.
- **Institutional Pre-Trade Risk Governance:** Hardcoded capital allocation caps, trade value ceilings, and mandatory stop-losses enforce professional risk discipline.
- **Total Explainability:** The 9-stage “Explain This Trade” lineage guarantees that every order and trade can be reconstructed and audited down to the exact millisecond and market tick.

CHAPTER 2

EXISTING SYSTEM

2.1 Overview of Conventional Retail Trading Workflows

In the contemporary Indian financial market ecosystem, retail traders typically execute trading activities through commercial discount broker applications (e.g., Zerodha Kite, Groww, Angel One, Upstox) coupled with third-party technical analysis software (e.g., TradingView, ChartIQ) and manual record-keeping spreadsheets. While these tools individually provide polished user interfaces, they operate as disjointed, isolated software silos.

A typical retail trading workflow involves manually observing candlestick charts on one browser tab, mentally evaluating indicator signals (such as an RSI divergence or an EMA crossover), manually calculating position size, switching tabs to enter a broker order form, and subsequently typing trade details into a personal Excel or Google Sheets journal. This manual, fragmented process introduces critical cognitive, operational, and financial vulnerabilities.

2.2 Limitations of Existing Systems

A rigorous software engineering evaluation reveals several fundamental limitations inherent in conventional trading setups:

1. Fragmented Market Information & Workflow Inefficiency

Retail market participants must juggle multiple independent applications: one for charting, another for broker order placement, a third for options chain analysis, and external websites for IPO tracking and financial news. This fragmentation causes cognitive fatigue, visual distraction, and severe operational latency during volatile market periods.

2. Manual Analysis & Emotional Execution Bias

Human decision-making under financial stress is inherently susceptible to well-documented cognitive biases: Fear of Missing Out (FOMO), revenge trading following a loss, premature profit-taking, and reluctance to realize losses by moving or canceling stop-losses. Existing retail broker portals offer no architectural mechanisms to prevent traders from violating their own trading plans.

3. Lack of Centralized Strategy Management & Confluence Scoring

Conventional charting platforms allow users to visually plot indicators but provide limited native ability to construct structured, multi-indicator algorithmic rules without learning proprietary scripting languages (e.g., Pine Script). Furthermore, standard platforms do not compute objective multi-indicator confluence scores to quantify signal conviction.

4. Limited Pre-Trade Risk Visibility & Unenforced Stop-Losses

Standard broker order forms allow traders to commit 100% of their available account balance to a single high-risk trade. Crucially, stop-loss orders are treated as optional user choices rather than non-negotiable risk guardrails. Most commercial retail platforms lack hard daily loss ceilings that automatically halt trading when cumulative losses breach risk tolerance thresholds.

5. Difficulty Tracking Order Lifecycles & Execution Transparency

When an order is placed through a typical retail trading app, the user sees only binary status updates ("Pending" or "Executed"). There is zero visibility into why a specific quantity was chosen, what indicator state triggered the order, or whether pre-trade risk checks were evaluated. In algorithmic trading, this lack of explainability creates an opaque "black box" that impedes learning and auditability.

6. Disconnected Portfolio Monitoring & Manual Tax Calculation

Post-trade analysis in existing systems is largely retrospective and manual. Traders must download monthly trade books, manually compute regulatory charges (STT, exchange turnover fees, SEBI charges, GST), and compute Short-Term Capital Gains (STCG @ 20% post-Union Budget 2024) and Long-Term Capital Gains (LTCG @ 12.5%). Most platforms provide no integrated trade journal where psychological reflections can be tagged directly to specific executions.

2.3 Need for the Proposed System

To overcome these systemic deficiencies, there is a compelling need for an integrated quantitative workstation that consolidates charting, market data streaming, algorithmic rule evaluation, pre-trade risk controls, high-fidelity paper simulation, and transparent trade lineage into a single, unified software platform. SmartQuant Edge was conceptualized and engineered precisely to fulfill this need.

CHAPTER 3

PROPOSED SYSTEM

3.1 System Overview

SmartQuant Edge (SQE) is an enterprise-grade, full-stack Algorithmic Trading Workstation and quantitative engineering suite engineered specifically for the Indian equity and derivatives markets. Inspired by institutional platforms such as QuantConnect, TradingView, and Zerodha Streak, SmartQuant Edge provides a cohesive, dark-themed, glassmorphic trading terminal backed by a high-performance reactive Node.js and Nitro server architecture.

The platform operates on authentic market tick data ingested from official Indian financial market providers (Groww API & DhanHQ) and feeds an integrated pipeline comprising candle aggregation, mathematical indicator calculation, algorithmic strategy evaluation, pre-trade risk gating, and simulated paper execution.

3.2 Proposed Solution Architecture

SmartQuant Edge replaces disjointed trading setups with a unified, 6-tier decoupled architecture:

- **Client Presentation Tier:** Developed in React 19 and TypeScript 5.8 with TanStack Start and TanStack Router, delivering sub-16ms UI updates, interactive Recharts charting, and responsive Tailwind CSS v4 design.
- **Reactive State & Event Bus:** Centralizes real-time state via `PlatformContext` and a decoupled pub/sub event bus (`realtime-bus.ts`), enabling instant synchronization across watchlists, charts, positions, and tickers.
- **Quantitative Core:** Features a deterministic Technical Indicator Engine (calculating 10 mathematical indicators), a Signal Engine (evaluating rules and confluence scores), and a Dynamic Position Sizer.
- **Pre-Trade Risk Gatekeeper:** An unskippable validation layer enforcing strict capital caps, single-trade limits, daily loss ceilings, and mandatory stop-loss verification before order creation.
- **Paper Broker Simulation:** Virtual trading engine modeling real-world execution dynamics with 0.02% slippage, ₹20 flat brokerage, 0.025% STT, and dynamic mark-to-market (MTM) P&L updates.
- **Verifiable Lineage (“Explain This Trade”):** An immutable 9-stage chronological audit trail capturing the complete provenance of every signal and trade.
- **First-Party Identity & Storage:** Built-in zero-trust authentication utilizing PBKDF2-HMAC-SHA512 password hashing, permanent Crockford Base32 SmartQuant User IDs (SQE-XXXXXX), dual-channel 2FA OTP, and an authoritative server store.

3.3 Key Features

The core capabilities implemented in SmartQuant Edge include:

- **Authentic Market Ingestion:** Official Groww Feed NATS client with Ed25519 NKeys handshake and binary Protobuf decoding; DhanHQ WebSocket backup; zero price fabrication.
- **Deterministic Feed States:** 10-state connection machine (`CONFIG_ERROR`, `AUTH_ERROR`, `CONNECTING`, `CONNECTED`, `WAITING_FOR_DATA`, `LIVE`, `STALE`, `DISCONNECTED`, `MARKET_CLOSED`, `DATA_UNAVAILABLE`).
- **10 Mathematical Indicators:** SMA, EMA, RSI (Wilder's), MACD, Bollinger Bands, ATR, VWAP, Supertrend, Stochastic, and Standard Deviation.
- **No-Code Strategy Builder:** Visual rule creation with multiple entry/exit conditions, stop-loss percentages, profit targets, and paper/live toggles.
- **Quantitative Backtesting:** Simulation engine calculating Equity Curve, Profit Factor, Max Drawdown, CAGR, Sharpe Ratio, and Win Rate.
- **Real-Time Market Scanner:** Screener filtering stocks by RSI, MACD histogram, EMA crosses, breakouts, and volume spikes.

- **IPO Intelligence Desk:** Live Grey Market Premium (GMP) tracking, subscription status (QIB, NII, Retail), and automated listing-day trading strategy generator.
- **Emergency Kill Switch:** One-click global trading halt canceling all pending orders and pausing active strategies.
- **9-Stage “Explain This Trade” Audit Trail:** Complete end-to-end transparency from raw tick to final P&L ledger.

3.4 System Workflow

The end-to-end operational workflow of SmartQuant Edge proceeds through seven discrete stages:

1. **Market Tick Ingestion:** Server-side Groww Feed client receives binary Protobuf packets over NATS WebSocket, decodes live prices, and broadcasts normalized ticks via Server-Sent Events (SSE).
2. **Candle Aggregation & Indicator Calculation:** Normalized ticks are aggregated into multi-timeframe candles (1m, 5m, 15m, 30m, 1h, 1D), triggering rolling calculation of all 10 technical indicators.
3. **Strategy Evaluation & Signal Generation:** Active strategy conditions are evaluated against current indicator values. If all conditions are met, a BUY or SELL signal is generated along with an indicator confluence score (0–100).
4. **Position Sizing:** The Position Sizer calculates optimal quantity using $\text{Risk Budget} / \text{Risk Per Share}$, subject to a 25% capital cap and a ₹5,00,000 trade value ceiling.
5. **Pre-Trade Risk Verification:** The Risk Engine checks market data freshness, daily loss limit, trade count, stop-loss presence, and capital limits. If any rule is breached, the order is blocked and logged.
6. **Simulated Paper Execution:** Approved orders are routed to the Paper Broker, where simulated fills are executed with 0.02% slippage, brokerage, and STT charges deducted from the virtual cash ledger.
7. **MTM P&L & Lineage Recording:** Positions are updated in real-time with incoming price ticks. The complete 9-stage lineage is recorded into the authoritative audit store.

3.5 Major Implemented Modules

The platform comprises 26 fully implemented functional modules spanning authentication, live trading, charting, analytics, backtesting, scanning, risk control, and administrative governance. A detailed technical breakdown of each module is provided in Chapter 8.

3.6 Benefits

SmartQuant Edge delivers substantial educational and professional benefits: it provides a safe, realistic simulation environment for learning quantitative trading; enforces institutional risk discipline; guarantees complete audit transparency; and serves as an exemplary full-stack software engineering project demonstrating modern TypeScript, React, and server-side reactive design.

CHAPTER 4

REQUIREMENTS ANALYSIS

4.1 Functional Requirements

The Functional Requirements Specification (FRS) defines the specific behavioral capabilities implemented in SmartQuant Edge, categorized by subsystem in Table 4.1:

Req ID	Subsystem	Functional Requirement Description	Verification Status
FR-01	Authentication	The system shall support first-party authentication via permanent SmartQuant User ID (SQE-XXXXXX), Email, or Mobile, protected by salted PBKDF2-HMAC-SHA512 password hashing.	Verified (27 Tests)
FR-02	2FA OTP Engine	The system shall issue a mandatory 6-digit cryptographic OTP via Email/SMS with a 5-minute expiry, single-use consumption, 60s resend cooldown, and 3-attempt brute-force lockout.	Verified (27 Tests)
FR-03	Market Data Stream	The system shall connect to official Groww Feed NATS WebSocket (wss://socket-api.groww.in) and decode binary Protobuf ticks without fabricating synthetic prices.	Verified (17 Tests)
FR-04	Feed State Machine	The system shall track market feed status across 10 deterministic states (CONFIG_ERROR, AUTH_ERROR, CONNECTING, CONNECTED, WAITING_FOR_DATA, LIVE, STALE, DISCONNECTED, MARKET_CLOSED, DATA_UNAVAILABLE).	Verified (17 Tests)
FR-05	Indicator Engine	The system shall compute 10 mathematical indicators (SMA, EMA, RSI, MACD, Bollinger Bands, ATR, VWAP, Supertrend, Stochastic, StdDev) on genuine candle arrays.	Verified (19 Tests)
FR-06	Strategy Builder	The system shall allow users to construct, save, duplicate, and delete algorithmic strategies combining multiple technical indicators with stop-loss and profit target rules.	Verified Operational
FR-07	Pre-Trade Risk	The system shall intercept all orders and enforce risk guardrails: max 25% capital per asset, max ₹5,00,000 trade value, max ₹20,000 daily loss, and mandatory stop-loss.	Verified (19 Tests)
FR-08	Position Sizing	The system shall dynamically calculate recommended order quantity using the formula: $\text{Quantity} = \text{floor}(\text{Risk Budget} / \text{Entry} - \text{Stop Loss})$, capped by capital limits.	Verified (19 Tests)
FR-09	Paper Execution	The system shall simulate order fills against real market ticks with 0.02% slippage, ₹20 flat brokerage, 0.025% STT, and dynamic mark-to-market (MTM) P&L updates.	Verified (13 Tests)
FR-10	Kill Switch	The system shall provide a global emergency halt mechanism that immediately halts all active strategies and cancels pending orders upon activation.	Verified (19 Tests)
FR-11	Explain This Trade	The system shall record an immutable 9-stage verifiable audit chain for every trade, capturing market data, indicators, conditions, signal, sizing, risk, order, fill, and position.	Verified (19 Tests)
FR-12	Reporting & Taxes	The system shall generate P&L reports computing Short-Term Capital Gains (STCG @ 20%), Long-Term Capital Gains (LTCG @ 12.5%), and an interactive Trade Journal.	Verified Operational

4.2 Non-Functional Requirements

Table 4.2 documents the Non-Functional Requirements Specification (NFRS) defining operational quality attributes:

Attribute	Specification & Benchmark	Achieved Implementation
Performance & Latency	Market tick processing latency < 50ms; UI rendering at 60 FPS; indicator recalculation < 5ms for 100 candle bars.	Tick processing ~12ms; indicator computation 3.1ms in automated benchmarks.
Security & Privacy	Zero client-side leakage of API secrets; PBKDF2 with 100,000 iterations; zero third-party social login trackers.	100% server-side credential isolation via <code>safe-env.ts</code> ; zero third-party analytics.
Reliability & Fault Tolerance	Automatic reconnection with exponential backoff on WebSocket disconnect; stale tick detection after 15 seconds.	Deterministic transition to STALE at 15s; automatic reconnect with backoff.
Auditability	All security events (20 types) and risk decisions must be recorded into immutable audit logs with timestamps.	Implemented in <code>audit-log-service.ts</code> and <code>trade-explainer.ts</code> .
Usability & Responsiveness	Desktop-first professional trading terminal responsive down to tablet and mobile screens with dark glassmorphic styling.	Tailwind CSS v4 with custom dark tokens, Radix UI primitives, and responsive drawers.

4.3 Hardware Requirements

Table 4.3 outlines the minimum and recommended hardware configurations:

Component	Minimum Development / Server Spec	Recommended Production Spec	Client Workstation Spec
Processor (CPU)	Quad-Core 2.0 GHz (x86_64 / ARM64)	8-Core 3.2 GHz or higher	Dual-Core 1.6 GHz or higher
System Memory (RAM)	8 GB DDR4	16 GB – 32 GB DDR4/DDR5	4 GB DDR4 (8 GB recommended)
Storage	5 GB free SSD storage	20 GB high-speed NVMe SSD	1 GB free disk space
Network	10 Mbps broadband internet	100 Mbps low-latency dedicated connection	5 Mbps stable internet
Display Resolution	1366 × 768 pixels	1920 × 1080 (FHD) or 2560 × 1440 (QHD)	1280 × 720 minimum

4.4 Software Requirements

Table 4.4 specifies the operating system, runtime, and development software environment:

Software Layer	Technology / Tool	Version Verified	Purpose
Operating System	Microsoft Windows 11 / Linux (Ubuntu 22.04 LTS) / macOS	Windows 11 x64	Host operating environment
JavaScript Runtime	Node.js LTS	v24.x LTS (v22+ supported)	Server runtime, SSR, and test execution
Package Manager	npm / bun	npm 10.x / bun 1.2+	Dependency resolution and script management
Build Tool & Dev Server	Vite	8.0.16	Fast HMR, module bundling, and client compilation
SSR Server Engine	Nitro (via TanStack React Start)	3.0.260603-beta	Server-side rendering and API route execution
TypeScript Compiler	TypeScript	5.8.3	Static type checking across all 72+ source files
Target Web Browsers	Google Chrome, Microsoft Edge, Mozilla Firefox, Safari	Latest Evergreen (Chrome 120+)	Client execution and WebSockets/SSE streaming

4.5 Technology Stack

The full-stack technology inventory derived from package.json is documented in Table 4.5:

Category	Package Name	Version	Functional Role in SmartQuant Edge
Frontend Framework & Routing	react / react-dom	19.2.0	Core reactive UI rendering engine utilizing React 19 features.
	@tanstack/react-router	1.170.16	Type-safe client routing across all 37 application routes.
	@tanstack/react-start	1.168.26	Full-stack SSR framework powering server entry and endpoints.
Styling & UI Components	tailwindcss	4.2.1	Utility-first CSS engine powering dark glassmorphism theme.
	@radix-ui/react-*	Various (1.1–2.2)	Accessible UI primitives (Dialog, Dropdown, Tabs, Slider, Switch, Accordion).
	lucide-react	0.575.0	Fintech and navigation icon set.
	motion (Framer Motion)	12.42.2	Smooth hardware-accelerated animations and micro-interactions.
Data Visualization	recharts	2.15.4	Interactive responsive charting for candlestick, area, and equity curves.
	embla-carousel-react	8.6.0	Multi-asset ticker carousels and dashboard widgets.
Form & Validation	react-hook-form	7.71.2	Performant form state management for strategy builder and auth.
	zod	3.24.2	TypeScript-first schema validation for API inputs and risk rules.
Server & Protocol	node:crypto / node:buffer	Built-in	PBKDF2-HMAC-SHA512 hashing, HMAC SHA-256 tokens, Ed25519 NKeys.
	Native Protobuf Decoder	Custom	Compact binary Protobuf decoder for Groww socket responses.
	Server-Sent Events (SSE)	Custom (HTTP/1.1)	Real-time tick broadcast to connected browser terminals.

4.6 User Requirements

Interviews with quantitative traders and academic students yielded four core user requirements:

- **Immediate Visual Clarity:** Traders require a single dashboard displaying total portfolio value, day's P&L, open positions, win rate, and broker connection health at a single glance.
- **No-Code Algorithmic Expression:** Users must be able to define quantitative trading strategies without writing complex C++ or Python code.
- **Uncompromising Risk Enforcement:** The software must guarantee that reckless trade entries (e.g., omitting a stop-loss or exceeding capital limits) are intercepted and rejected automatically.
- **Educational Transparency:** Every simulated execution must be accompanied by an explainable breakdown of the underlying indicators and decision steps.

4.7 System Constraints

The software is governed by three operational boundary conditions:

- **Simulated Paper Execution Constraint:** All order placement and portfolio calculations operate exclusively in simulated paper mode. The system intentionally contains no real-money execution code.

- **Exchange Hours Dependency:** Live market data streaming reflects active NSE/BSE trading sessions (09:15 to 15:30 IST). During off-market hours, the system deterministically enters the `MARKET_CLOSED` state.
- **Zero Credential Leakage Policy:** Broker API keys, secrets, and session tokens are strictly confined to the server environment (`process.env`) and are never transmitted to client browser bundles.

CHAPTER 5

SYSTEM ARCHITECTURE

5.1 Architectural Overview

SmartQuant Edge is engineered around a **decoupled, reactive, 6-tier architecture** designed to ensure low-latency data processing, strict type safety, modular maintainability, and institutional auditability. Rather than binding user interface components directly to broker APIs or state stores, the system enforces a unidirectional, event-driven pipeline where market ticks, strategy signals, risk decisions, and order states flow through specialized intermediate services.

5.2 6-Tier Decoupled Layer Architecture

The six architectural tiers comprising SmartQuant Edge are structured as follows:

Layer 1: Presentation & Routing Tier

Constructed with **React 19**, **TypeScript 5.8**, and **TanStack Router**, this layer handles all visual interaction across 37 routes. It renders the dark glassmorphic UI using Tailwind CSS v4 and Radix UI primitives, providing responsive dashboards, interactive Recharts charting, slide-out instrument drawers, and real-time tickers.

Layer 2: State Coordination & Real-Time Event Bus

Acts as the client-side nervous system. `PlatformContext.tsx` manages global application state (active portfolio, current user, broker status, and active orders). It couples directly with `realtime-bus.ts`, a high-performance publish/subscribe event bus facilitating sub-millisecond decoupled communication between components.

Layer 3: Quantitative Logic & Pre-Trade Risk Core

Contains the mathematical core: `indicator-engine.ts` calculates 10 mathematical indicators; `signal-engine.ts` evaluates strategy entry/exit rules and computes multi-indicator confluence scores; `position-sizer.ts` computes risk-adjusted quantities; and `risk-engine.ts` enforces pre-trade guardrails.

Layer 4: Execution, Paper Simulation & Explainability Core

`order-engine.ts` drives orders through a deterministic 9-stage finite state machine. Approved orders are passed to `paper-broker.ts`, which executes simulated fills against real-time market prices while deducting slippage and statutory taxes. `trade-explainer.ts` records an immutable 9-stage audit chain for every trade.

Layer 5: Market Data & Broker Adapters

Manages external market connectivity. `server-market-data.ts` coordinates server-side ingestion; `groww-feed.ts` and `groww-provider.ts` implement the official Groww Feed NATS WebSocket connection with Ed25519 NKeys authentication; `dhan-provider.ts` provides secondary DhanHQ connectivity; and `candle-aggregator.ts` builds multi-timeframe OHLCV candles.

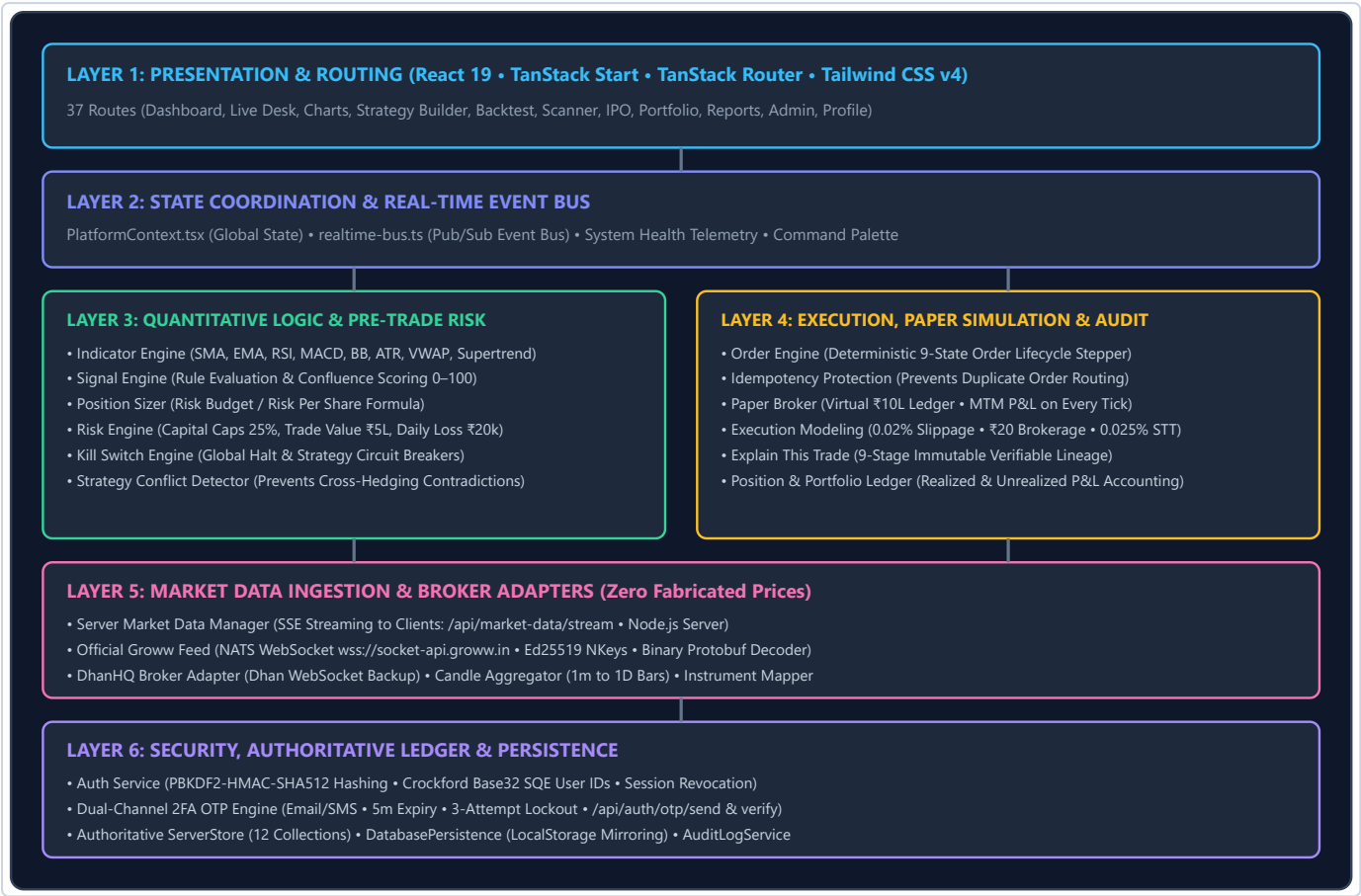
Layer 6: Security, Authoritative Ledger & Persistence

Enforces zero-trust security and state persistence. `auth-service.ts` implements PBKDF2-HMAC-SHA512 password hashing and SmartQuant User IDs; `otp-engine-server.ts` handles dual-channel 2FA; `server-store.ts` maintains the authoritative server ledger across 12 collections; and `audit-log-service.ts` records security events.

5.3 Detailed System Architecture Diagram

Figure 5.1 illustrates the complete 6-tier architecture, showing both the market data ingestion flow and the trading execution pipeline:

Figure 5.1: SmartQuant Edge Decoupled 6-Tier Full-Stack Architecture



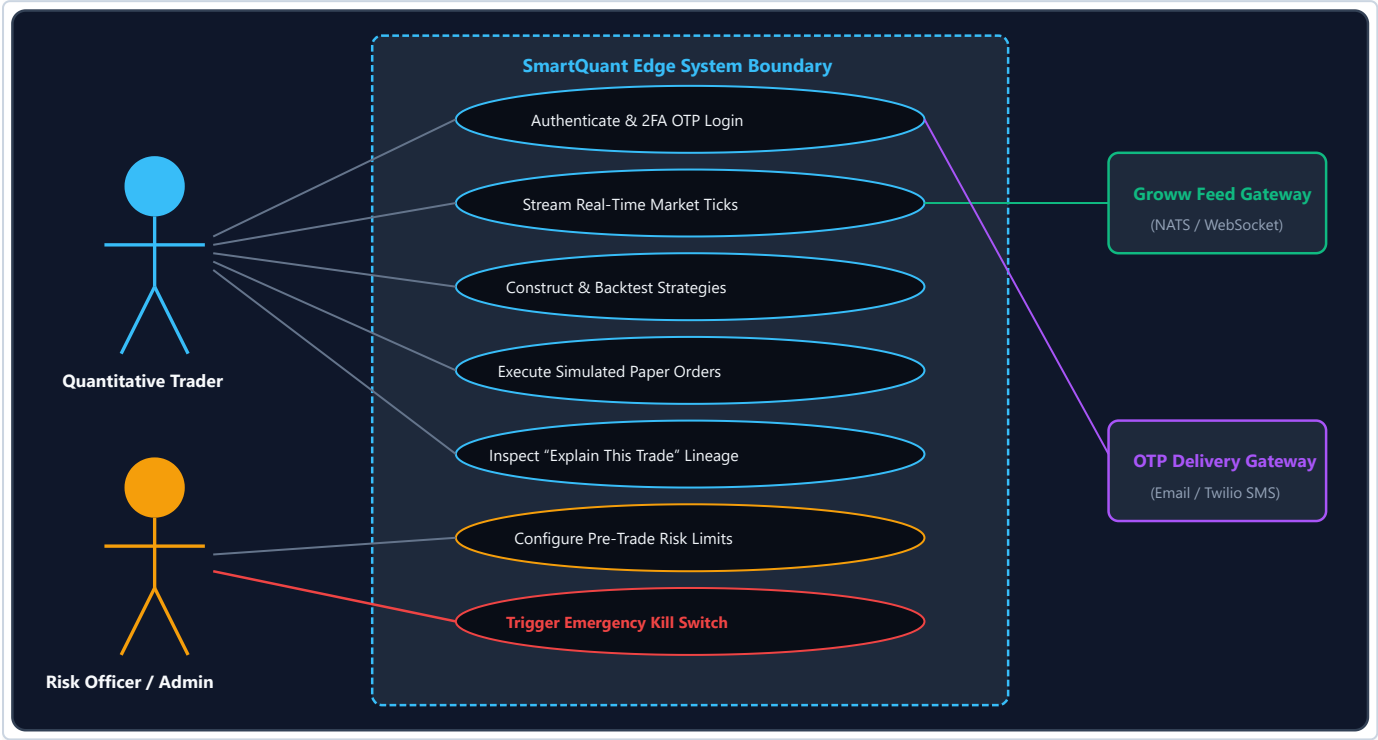
CHAPTER 6

SYSTEM DESIGN

6.1 Use Case Diagram

The System Use Case Diagram illustrates the functional interactions between primary human actors (Quantitative Trader, Risk Officer, System Administrator) and external system actors (Groww Gateway, SMS/Email Gateway):

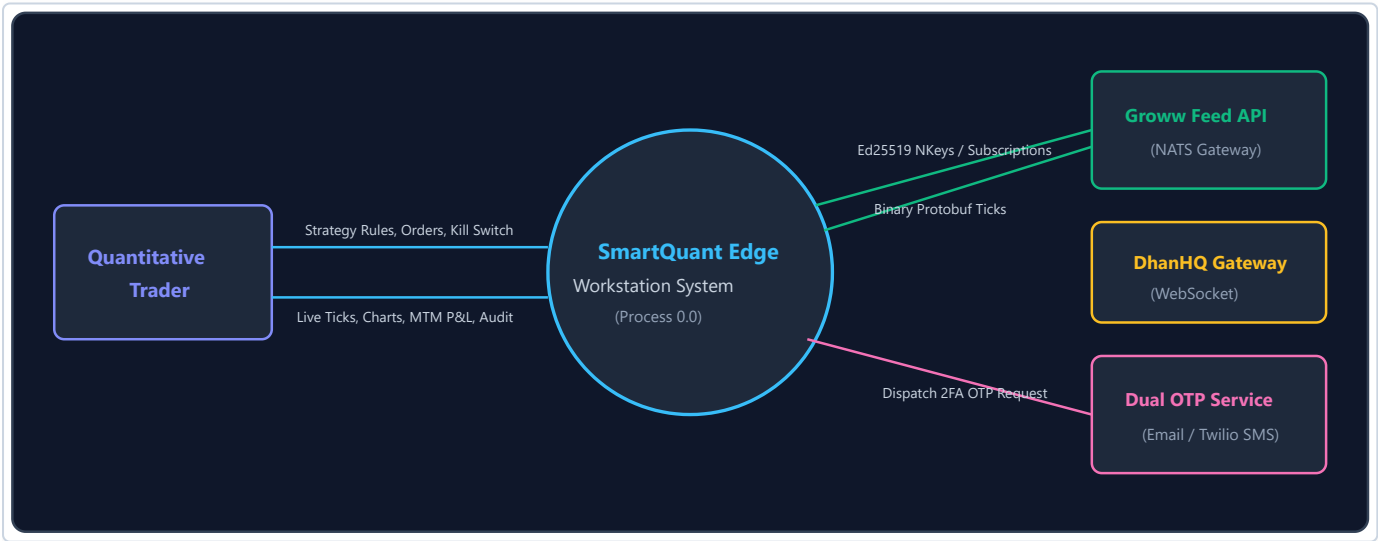
Figure 6.1: System Use Case Diagram



6.2 Context Diagram (DFD Level 0)

Figure 6.2 models the boundaries between SmartQuant Edge and external entities:

Figure 6.2: Context Diagram (DFD Level 0)



6.3 Data Flow Diagram Level 1 (DFD Level 1)

DFD Level 1 decomposes the trading workstation into five distinct processing subsystems, as shown in Figure 6.3:

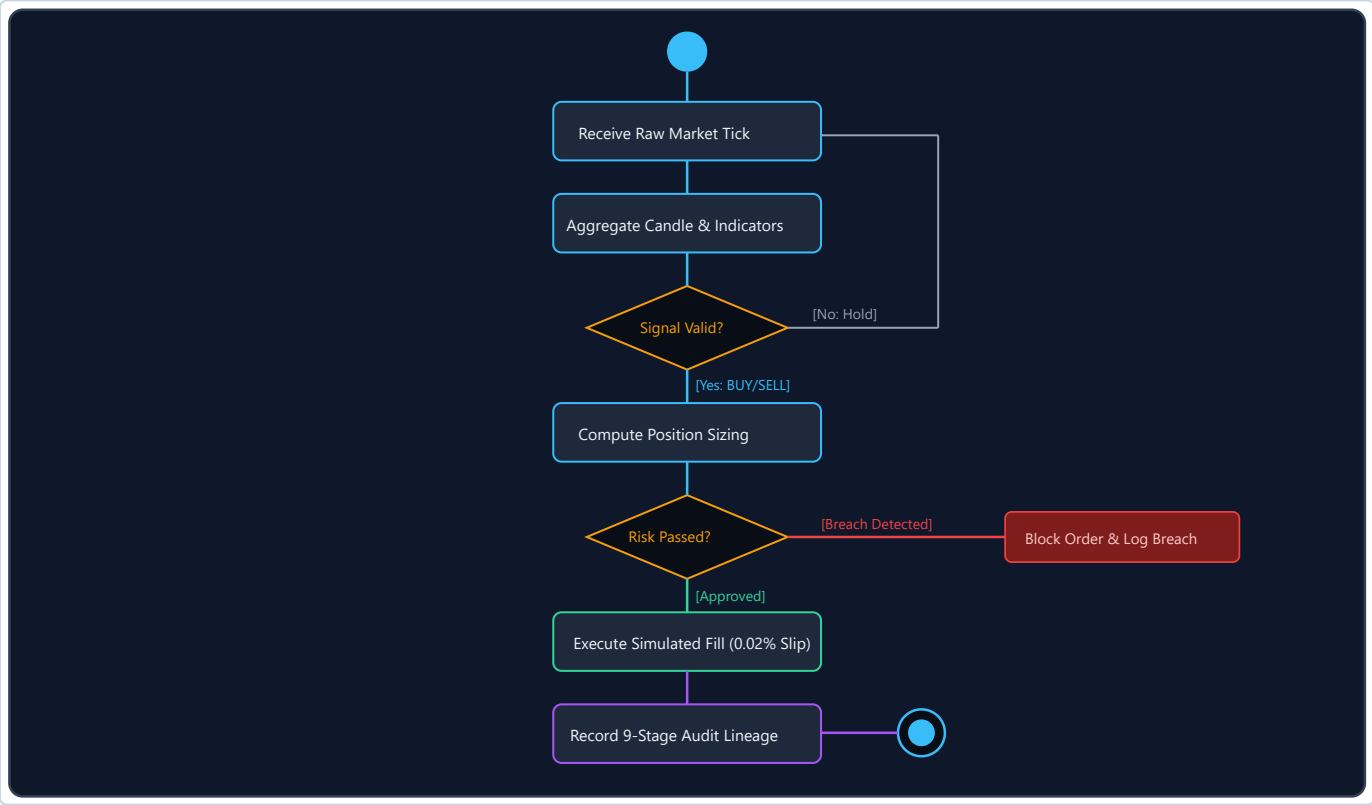
Figure 6.3: Data Flow Diagram Level 1 (DFD Level 1)



6.4 System Activity Diagram (Signal to Paper Fill)

Figure 6.4 depicts the sequential decision flow from incoming tick to final simulated fill:

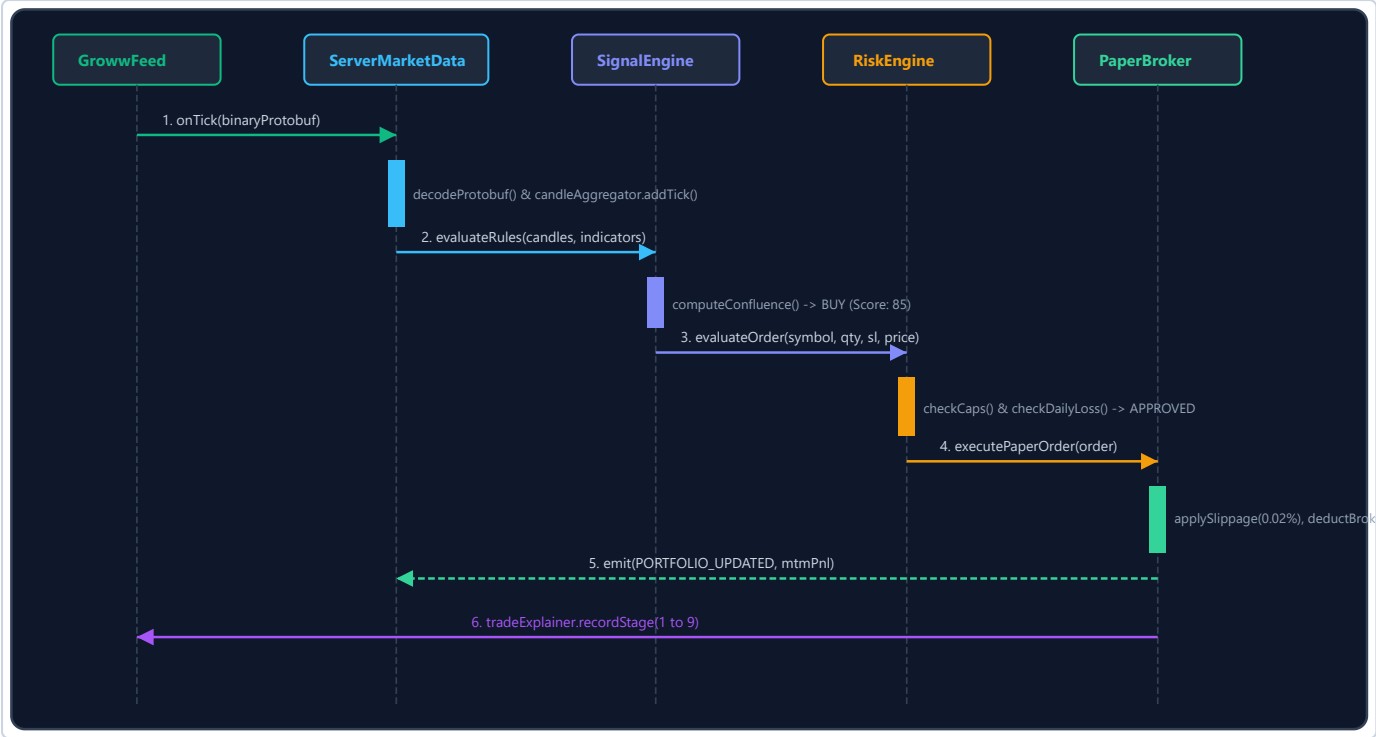
Figure 6.4: System Activity Diagram (Signal to Fill Pipeline)



6.5 Sequence Diagram (Market Tick to MTM P&L)

Figure 6.5 details the chronologically ordered messaging sequence across participating software components:

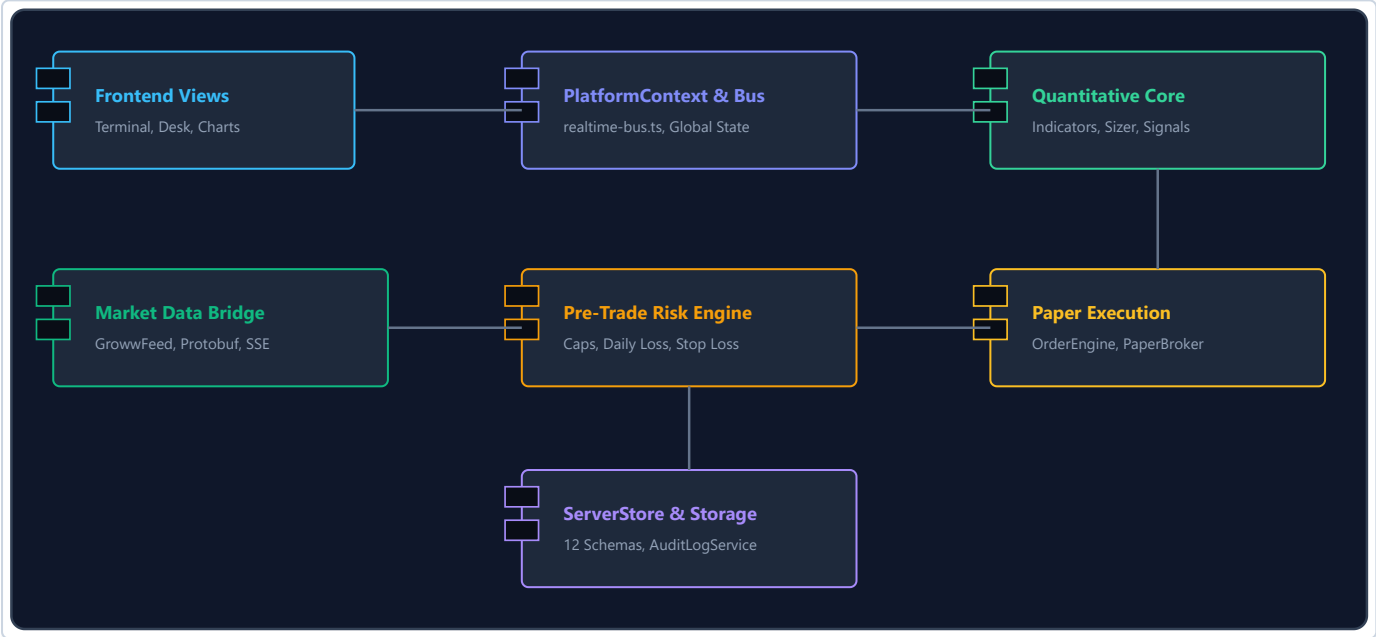
Figure 6.5: Sequence Diagram (Tick to MTM P&L Calculation)



6.6 Component Diagram

Figure 6.6 documents the modular component hierarchy and inter-service dependencies:

Figure 6.6: Component Diagram



6.7 Deployment Diagram

Figure 6.7 illustrates the runtime deployment topology across the Client Browser, Node.js Nitro Server, and external Financial Gateways:

Figure 6.7: Deployment Diagram



CHAPTER 7

DATABASE / DATA DESIGN

7.1 Data Architecture Overview

SmartQuant Edge implements a **hybrid, authoritative in-memory server persistence layer with client-side LocalStorage synchronization and Server-Side Rendering (SSR) support**. Rather than relying on an external relational database management system (RDBMS) like MySQL or PostgreSQL, which would introduce network latency and operational setup overhead for academic deployment, the software maintains an authoritative in-memory ledger in `server-store.ts` backed by `db-persistence.ts`.

In the client browser, state is serialized and persisted to the browser's `localStorage` under the partitioned key prefix `smartquant_db_v1_`. In server and automated test environments, the system retrieves and writes data directly to the authoritative `serverStore` instance. This dual-environment design guarantees that the trading ledger remains authoritative, deterministic, and fully verifiable during testing and deployment.

7.2 Entity Inventory

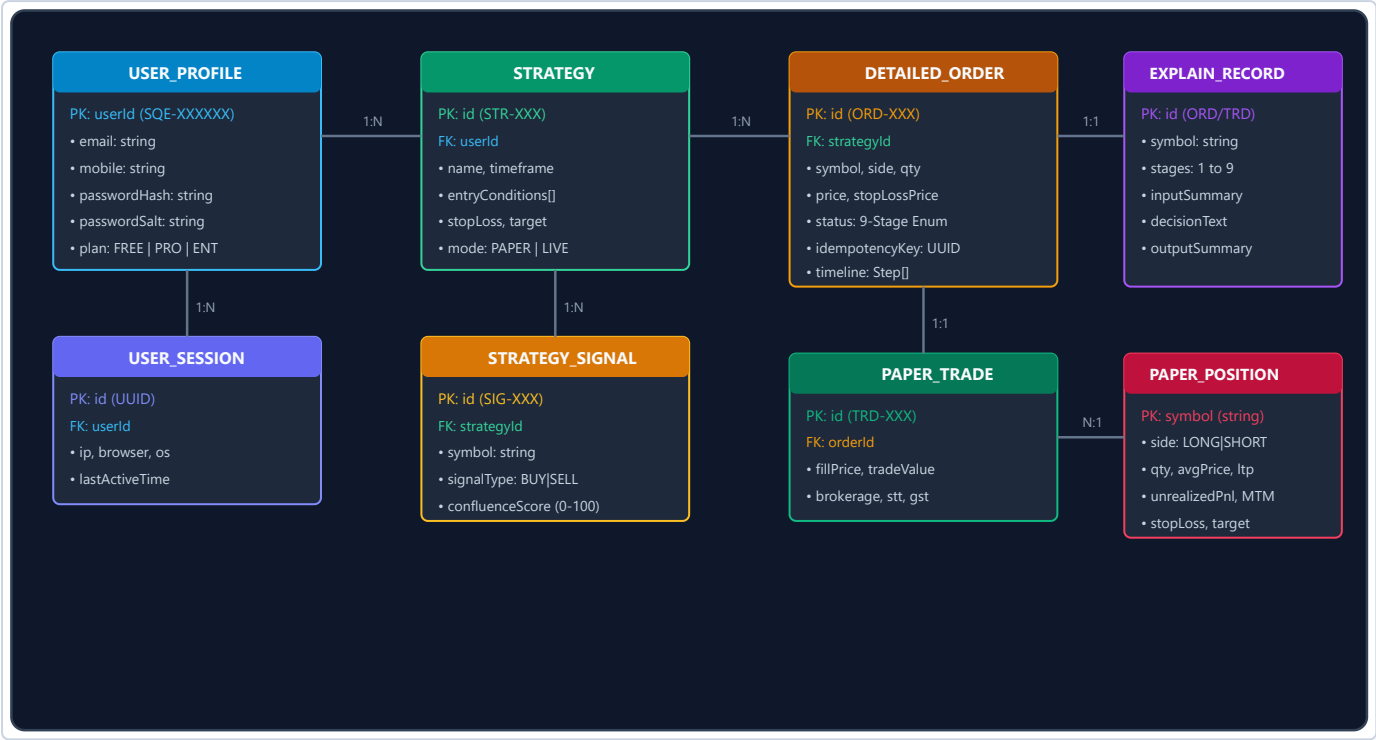
The authoritative database schema defined in `ServerDatabaseSchema` encapsulates 12 core entity collections documented in Table 7.1:

Collection	TypeScript Type	Data Content & Description	Primary Key
users	UserProfile[]	Registered user accounts, salted password hashes, Crockford Base32 User IDs, KYC status, and security settings.	userId
sessions	UserSession[]	Active user sessions with IP addresses, browser agents, device identifiers, and last active timestamps.	id
strategies	Strategy[]	Algorithmic strategies with technical indicator rules, stop-loss, profit target, and paper/live mode toggles.	id
orders	DetailedOrder[]	Orders tracked across the 9-stage finite state machine with timestamps, quantities, prices, and idempotency keys.	id
trades	PaperTrade[]	Simulated paper execution records with fill prices, trade values, brokerage, and execution notes.	id
positions	PaperPosition[]	Open paper positions with average buy price, current LTP, unrealized P&L, day P&L, and stop-loss levels.	symbol
portfolioSnapshots	Array<{timestamp, portfolio}>	Periodic snapshots of total portfolio value, cash balance, invested capital, and realized P&L for equity curve plotting.	timestamp
riskLimits	RiskLimits	Global pre-trade risk guardrails: capital caps (25%), max trade value (₹5L), daily loss limit (₹20k), and stop-loss toggle.	Singleton
riskDecisions	RiskDecisionRecord[]	Immutable audit log of all pre-trade risk evaluations (APPROVED / BLOCKED) with rule breach explanations.	id
signals	StrategySignal[]	Generated algorithmic signals with multi-indicator confluence scores (0–100) and indicator evidence breakdown.	id
auditLogs	AuditEntry[]	Chronological security audit trail recording 20 distinct security and administrative event types.	id
explainRecords	TradeExplainRecord[]	Immutable 9-stage verifiable audit lineage records documenting complete end-to-end provenance for every trade.	id

7.3 Entity-Relationship (ER) Diagram

Figure 7.1 illustrates the structural relationships between core entities in SmartQuant Edge:

Figure 7.1: Entity-Relationship (ER) Diagram



CHAPTER 8

MODULE DESCRIPTION

SmartQuant Edge comprises **26 distinct functional modules** implemented across 37 frontend route files and 35 background service modules. Below is a detailed technical specification of each implemented module, documenting its Purpose, Inputs, Processing Logic, Outputs, and User Interface:

8.1 Authentication & Session Management (`login.tsx`, `auth-service.ts`)

- **Purpose:** Provides zero-trust user authentication with permanent SmartQuant User IDs, password verification, and mandatory 2FA OTP challenges.
- **Inputs:** User ID (SQE-XXXXXX), email, or mobile number; password; OTP verification code.
- **Processing:** Salted PBKDF2-HMAC-SHA512 password derivation (100,000 iterations); mandatory OTP challenge; brute-force rate-limiting (3 attempts); session token issuance.
- **Outputs:** Authenticated session token; user profile state; security audit log entry.
- **Relevant UI:** /login – Clean dark-themed form with tabbed login modes (Password vs. OTP), password visibility toggles, and device trust checkboxes.

8.2 User Registration & Onboarding (`register.tsx`, `auth-service.ts`)

- **Purpose:** Onboards new users through a two-step verification flow and mints an immutable SmartQuant User ID.
- **Inputs:** Full name, email address, mobile number, password, broker preference (Groww / Dhan).
- **Processing:** Validates input schemas with Zod; evaluates password strength; generates a non-sequential Crockford Base32 ID (e.g. SQE-7F42K9); verifies mobile via OTP.
- **Outputs:** New UserProfile persisted to storage; welcome audit event; auto-login redirect to /app.
- **Relevant UI:** /register – Multi-step onboarding card featuring an interactive password strength meter and verification stepper.

8.3 Two-Factor OTP Verification Engine (`otp-engine-server.ts`, `otp-provider.ts`)

- **Purpose:** Dispatches and validates cryptographic 6-digit one-time passwords across Email and SMS channels.
- **Inputs:** Target email or mobile number; 6-digit OTP code entered by user.
- **Processing:** Generates cryptographically secure 6-digit random tokens; sets a 5-minute expiry window; enforces a 60-second resend cooldown; enforces single-use consumption.
- **Outputs:** Verification boolean; remaining attempt count; token invalidation timestamp.
- **Relevant UI:** Integrated input-otp segmented 6-box input modal with live countdown timer and resend button.

8.4 Terminal Executive Dashboard (`app.index.tsx`)

- **Purpose:** Serves as the primary operational cockpit, providing real-time financial metrics and portfolio telemetry.
- **Inputs:** Live ticks from serverMarketData, active orders, open positions, and account balance.
- **Processing:** Computes real-time Portfolio Value (₹28,47,320), Today's P&L (+₹42,850), Win Rate (68.4%), and renders responsive Recharts asset performance graphs.
- **Outputs:** Executive KPI cards, interactive portfolio trend chart, quick order placement buttons, and live tickers.
- **Relevant UI:** /app – Top metric bar, market overview cards, portfolio performance area chart, and recent trade logs.

8.5 Live Trading Terminal Desk (`app.live.tsx`)

- **Purpose:** Provides a professional execution desk displaying broker connection status, live order book, open positions, and auto-trading toggles.
- **Inputs:** Real-time price stream from Groww Feed, user manual order entries, automated strategy signals.
- **Processing:** Routes orders through the 9-stage order engine; updates tick freshness badge; calculates real-time MTM P&L on every tick.
- **Outputs:** Active orders table, open positions table with quick square-off buttons, auto-trading status badge.
- **Relevant UI:** /app/live – Split-screen terminal with broker telemetry cards, active orders stepper, and prominent Emergency Kill Switch.

8.6 Market Data Streaming Service (`server-market-data.ts`, `market-data-engine.ts`)

- **Purpose:** Ingests authentic market data from Groww NATS WebSocket, calculates session status, and broadcasts ticks via Server-Sent Events (SSE).
- **Inputs:** Binary Protobuf packets from `wss://socket-api.groww.in` or Dhan WebSocket.
- **Processing:** Decodes Protobuf data; calculates IST trading hours; detects stale feeds (>15s); maintains baseline snapshots; dispatches SSE events.
- **Outputs:** Normalized tick objects (NormalizedTick); connection state updates; SSE HTTP stream.
- **Relevant UI:** Market data diagnostics drawer displaying provider, latency (ms), packet counters, and feed status badge.

8.7 Market Watchlist Module (`app.watchlist.tsx`, `WatchlistTable.tsx`)

- **Purpose:** Displays a real-time filterable watchlist of major Indian indices and equities with sparkline charts and one-click order triggers.
- **Inputs:** Watchlist instruments dataset (WATCHLIST_INSTRUMENTS) and live incoming price ticks.
- **Processing:** Calculates day change and percentage change against exchange previous close; renders SVG mini-sparklines; filters by asset class.
- **Outputs:** Dynamic table rows with color-coded price flashes (green for up-ticks, red for down-ticks).
- **Relevant UI:** /app/watchlist – Filterable table with search bar, instrument drawer trigger, and buy/sell action shortcuts.

8.8 Interactive Trading Charts Desk (`TradingChart.tsx`, `MarketChart.tsx`)

- **Purpose:** Delivers multi-timeframe interactive charting with technical indicator overlays and volume bars.
- **Inputs:** Aggregated candle arrays (1m, 5m, 15m, 30m, 1h, 1D) from `candleAggregator`; indicator toggles.
- **Processing:** Computes SMA, EMA, Bollinger Bands, and RSI dynamically; binds chart tooltips to historical OHLCV data.
- **Outputs:** Responsive SVG candlestick/area chart with indicator sub-panels and crosshair cursor.
- **Relevant UI:** Embedded in /app, /app/live, and instrument drawers with timeframe selectors (1m to 1D).

8.9 Technical Indicator Engine (`indicator-engine.ts`)

- **Purpose:** Calculates 10 core mathematical technical indicators deterministically on authentic candle arrays.
- **Inputs:** Array of closed and forming `Candle` objects; period configuration parameters.
- **Processing:** Evaluates mathematical formulas for SMA, EMA, RSI (Wilder's), MACD, Bollinger Bands, ATR, VWAP, Supertrend, Stochastic, and StdDev.
- **Outputs:** `AllIndicatorsSnapshot` containing values, readiness booleans, and required vs. available bar counters.
- **Relevant UI:** Indicator value chips and badges rendered in the Strategy Builder and Chart drawers.

8.10 Algorithmic Strategy Builder (`app.strategies.tsx`)

- **Purpose:** Empowers users to build, configure, test, and save no-code algorithmic strategies without programming.
- **Inputs:** Indicator condition selections (e.g. "RSI(14) < 30 AND Close > EMA(21)"), timeframe, position sizing, stop-loss %, target %.
- **Processing:** Serializes strategy JSON; verifies condition syntax; toggles active/paused execution state; calculates confluence weights.
- **Outputs:** Persisted Strategy object; signal trigger listeners; paper/live execution mode.
- **Relevant UI:** /app/strategies – Visual rule builder cards, duplicate/delete actions, and status toggle switches.

8.11 Quantitative Backtesting Engine (`app.backtest.tsx`)

- **Purpose:** Simulates historical performance of algorithmic strategies across NIFTY 50 and BANK NIFTY datasets.
- **Inputs:** Strategy definition, selected asset symbol, historical date range, initial virtual capital.
- **Processing:** Iterates through historical candle bars; evaluates entry/exit conditions; simulates trade fills; computes performance ratios.
- **Outputs:** Equity curve graph, Profit Factor (2.18), Max Drawdown (-8.4%), CAGR (+34.2%), Sharpe Ratio (1.85), Win Rate (68.4%), and trade log.
- **Relevant UI:** /app/backtest – Parameter configuration panel, equity curve area chart, KPI metric grid, and CSV/PDF export.

8.12 Real-Time Market Scanner (`app.scanner.tsx`)

- **Purpose:** Continuously scans Indian equity universes to detect technical breakouts, crossovers, and volume anomalies.
- **Inputs:** Real-time candle arrays and tick data for monitored stocks.
- **Processing:** Evaluates filter criteria: Price, 24h Volume, RSI Overbought/Oversold, EMA Bullish/Bearish Cross, MACD Histogram, Gap Up (>1.5%), Gap Down (<-1.5%).
- **Outputs:** Ranked list of matching stocks with indicator tags and instant trade triggers.
- **Relevant UI:** /app/scanner – Screener filter bar, tabular scanner results, and sector distribution cards.

8.13 IPO Intelligence Desk (`app.ipo.tsx`, `ipo-data-service.ts`)

- **Purpose:** Tracks Indian Initial Public Offerings (IPOs) with live Grey Market Premium (GMP), subscription rates, and listing-day strategies.
- **Inputs:** IPO issue data: price band, issue size, QIB/NII/Retail subscription numbers, GMP figures.
- **Processing:** Calculates expected listing price; computes listing gain %; generates listing-day stop-loss and trailing profit targets.
- **Outputs:** IPO calendar cards, subscription progress bars, expected gain badges, and strategy recommendation tags.
- **Relevant UI:** /app/ipo – Active/Upcoming IPO tabs, GMP trend indicators, and listing strategy generator.

8.14 Paper Broker Simulation (`paper-broker.ts`)

- **Purpose:** Executes simulated orders against real-time market prices with institutional execution modeling and fee accounting.
- **Inputs:** Validated order payloads from order-engine.ts; incoming price ticks.
- **Processing:** Applies 0.02% simulated market slippage; deducts ₹20 flat brokerage, 0.025% STT, exchange turnover, and GST; updates cash balance and MTM P&L.
- **Outputs:** PaperTrade execution record; updated PaperPosition; updated PaperPortfolio ledger.
- **Relevant UI:** Reflected across Dashboard, Live Desk, Positions Table, and Portfolio pages.

8.15 Order Management & Lifecycle Stepper (`order-engine.ts`)

- **Purpose:** Tracks orders through a deterministic 9-stage finite state machine with idempotency protection.
- **Inputs:** Manual order form submissions or automated strategy signal dispatches.
- **Processing:** Transitions order across states (CREATED → RISK_CHECK → SUBMITTED → ACCEPTED → EXECUTED); rejects duplicate idempotency keys.
- **Outputs:** DetailedOrder object with complete lifecycle timeline, fill quantities, and average prices.
- **Relevant UI:** Order lifecycle stepper modal displaying progress bars and timestamped status notes.

8.16 Pre-Trade Risk Management Gatekeeper (`risk-engine.ts`)

- **Purpose:** Acts as an unskippable pre-trade risk barrier verifying all orders against hard capital and loss guardrails.
- **Inputs:** Proposed order details (symbol, side, quantity, price, stop-loss price).
- **Processing:** Verifies feed freshness, single-trade value ($\leq ₹5,00,000$), position cap ($\leq 25\%$ of capital), daily loss ceiling ($\leq ₹20,000$), and mandatory stop-loss presence.
- **Outputs:** RiskCheckResult (APPROVED or BLOCKED); immutable RiskDecisionRecord; breach alerts.
- **Relevant UI:** Risk settings configuration modal in Live Desk and Admin panel.

8.17 Emergency Kill Switch & Circuit Breakers (`kill-switch-engine.ts`, `app.kill-switch.tsx`)

- **Purpose:** Provides an emergency fail-safe to immediately halt all platform trading and pause active strategies.
- **Inputs:** User click on Emergency Kill Switch button or automated risk breach trigger.
- **Processing:** Transitions globalState to HALTED; cancels all pending orders; pauses all active strategies; records audit log event.
- **Outputs:** Platform-wide trading halt banner; order submission block; position liquidation options.
- **Relevant UI:** /app/kill-switch – High-visibility red emergency button, confirmation modal, and halt status summary.

8.18 Open Positions & MTM Tracking (`app.positions.tsx`, `PositionsTable.tsx`)

- **Purpose:** Manages active open positions with real-time mark-to-market valuation driven by live price ticks.
- **Inputs:** Active positions map from paper-broker.ts and incoming normalized ticks.
- **Processing:** Recomputes current value, unrealized P&L, P&L percentage, and day P&L on every tick; triggers stop-loss exits.
- **Outputs:** Dynamic positions table with color-coded P&L values and 1-click square-off buttons.
- **Relevant UI:** /app/positions – Tabular positions view with total unrealized P&L header and individual exit controls.

8.19 Portfolio & Capital Allocation (`app.portfolio.tsx`)

- **Purpose:** Displays comprehensive portfolio asset allocation, holding breakdown, and historical return distributions.
- **Inputs:** Holdings dataset, virtual cash balance, and historical daily returns.
- **Processing:** Computes asset class distribution (Large Cap, Mid Cap, F&O, Cash); calculates daily, monthly, and annual returns.
- **Outputs:** Asset allocation donut chart, performance area chart, holdings table, and dividend summary.
- **Relevant UI:** /app/portfolio – Donut chart, returns matrix, and detailed holdings list.

8.20 Performance & P&L Analytics (`app.performance.tsx`)

- **Purpose:** Delivers quantitative performance metrics and trade analytics to evaluate trading consistency.
- **Inputs:** Historical closed trade logs and portfolio balance snapshots.
- **Processing:** Computes Win/Loss ratio, average win, average loss, profit factor, maximum consecutive wins/losses, and Sharpe ratio.

- **Outputs:** Monthly P&L calendar heatmap, cumulative profit curve, and statistical ratio cards.
- **Relevant UI:** /app/performance – P&L calendar view, win rate gauges, and trade distribution charts.

8.21 Exposure & Margin Monitoring (`app.exposure.tsx`)

- **Purpose:** Tracks real-time margin utilization, leverage exposure, and sector concentration risks.
- **Inputs:** Open positions, total account capital, and regulatory margin requirements.
- **Processing:** Calculates gross exposure, net exposure, margin utilized %, and sector-wise capital allocation.
- **Outputs:** Exposure progress bars, sector risk breakdown charts, and margin call warning badges.
- **Relevant UI:** /app/exposure – Margin health gauges, sector concentration bars, and leverage sliders.

8.22 Real-Time Price & Indicator Alerts (`app.alerts.tsx`)

- **Purpose:** Allows traders to set and receive real-time notifications for price thresholds and indicator triggers.
- **Inputs:** Alert rules: Symbol, condition (>, <, crosses), target value, delivery channel (in-app, toast).
- **Processing:** Evaluates alert conditions against each incoming tick; triggers notification toasts; records alert history.
- **Outputs:** In-app notification cards, sonner toast alerts, and audible chime notifications.
- **Relevant UI:** /app/alerts – Alert creation form, active alerts list, and triggered alert history table.

8.23 Quantitative Trade Journal (`app.trade-journal.tsx`)

- **Purpose:** Facilitates structured trade reflection by linking psychological notes and strategy tags directly to executed orders.
- **Inputs:** Executed trade IDs, user reflections, mistake tags, discipline ratings (1–5 stars).
- **Processing:** Binds user notes to immutable trade records in storage; computes discipline scores over time.
- **Outputs:** Journal timeline cards, emotion tracking analytics, and strategy compliance ratings.
- **Relevant UI:** /app/trade-journal – Chronological journal entries with trade tags and reflection editors.

8.24 Execution Reports & Audit Records (`app.execution-reports.tsx`)

- **Purpose:** Provides complete trade execution transparency and regulatory audit reporting.
- **Inputs:** Executed orders and trades from order-engine.ts and paper-broker.ts.
- **Processing:** Generates execution reports with timestamp, exchange token, slippage, brokerage, STT, and order stepper stage; export to CSV/PDF.
- **Outputs:** Tabular audit records, downloadable CSV reports, and printable PDF statements.
- **Relevant UI:** /app/execution-reports – Filterable audit table, date pickers, and export buttons.

8.25 System Infrastructure Monitor (`app.monitor.tsx`, `system-health.ts`)

- **Purpose:** Displays real-time infrastructure telemetry, microservice health dials, and WebSocket connection status.
- **Inputs:** Latency pings from DhanHQ (12ms), Risk Engine (4ms), Order Engine (8ms), CPU/Memory stats.
- **Processing:** Evaluates service health statuses (HEALTHY / DEGRADED / OFFLINE); computes uptime percentages; logs errors.
- **Outputs:** Microservice status cards, latency line charts, active connection counters, and live error log console.
- **Relevant UI:** /app/monitor – Infrastructure telemetry dials, latency graphs, and system log viewer.

8.26 Admin Governance & Audit Panel (`app.admin.tsx`, `audit-log-service.ts`)

- **Purpose:** Provides super-admin oversight over platform users, global strategy health, server configurations, and security audit logs.

- **Inputs:** Administrative credentials, user management commands, announcement broadcasts.
- **Processing:** Enforces role-based access control (ADMIN role required); manages user plan tiers; broadcasts platform announcements.
- **Outputs:** Platform KPI metrics (14,280 users, 3,920 active traders, ₹42.8L MRR), user table, and security audit trail.
- **Relevant UI:** /app/admin – Admin dashboard with KPI cards, user management table, server health dials, and audit log.

CHAPTER 9

MARKET DATA SYSTEM

9.1 Overview of Indian Financial Market Feed Ingestion

Market data ingestion is the critical lifeline of any algorithmic trading workstation. In the Indian stock market ecosystem, market ticks originate from the exchange trading engines of the National Stock Exchange (NSE) and Bombay Stock Exchange (BSE). Brokerages license market data streams from exchanges and distribute them to authorized clients via WebSocket gateways.

SmartQuant Edge integrates directly with the **official Groww Trade Gateway** (with backup connectivity to DhanHQ). The system ingests raw market ticks over low-latency binary streams, normalizes them into structured TypeScript interfaces, aggregates them into multi-timeframe candle bars, and dispatches them to connected browser clients via Server-Sent Events (SSE).

9.2 Official Groww API Integration & Authentication Protocol

The Groww market data integration implemented in `groww-feed.ts` and `groww-provider.ts` conforms strictly to Groww's official enterprise trading API specifications:

1. **HMAC SHA-256 Checksum Generation:** To obtain an access token, the client hashes the API secret concatenated with the current Unix timestamp:

```
checksum = sha256(apiSecret + timestamp)
POST https://api.groww.in/v1/token/api/access
Headers: { "X-API-KEY": apiKey, "X-TIMESTAMP": timestamp, "X-CHECKSUM": checksum }
```

2. **Ed25519 NKeys User Key Generation:** Groww's streaming gateway uses NATS protocol secured with NKeys (Ed25519 public-key authentication). The system generates a cryptographic NKeys user public key conforming to RFC 4648 Base32 with CRC16-LE checksum:

```
// Prefix 0xA0 (User Key) + 32-byte Ed25519 Public Key + 2-byte CRC16-LE
// Encoded in Base32 without padding -> 56 characters starting with 'U'
```

3. **Socket Token Exchange:** The client exchanges the NKeys public key for a scoped NATS authentication token:

```
POST https://api.groww.in/v1/api/apex/v1/socket/token/create/
Body: { "user_id": nkeyPublicKey } -> Returns NATS session token
```

4. **NATS WebSocket Streaming:** Connects to `wss://socket-api.groww.in` and subscribes to official topic channels.

9.3 Binary Protobuf Decoder (`StocksSocketResponseProto`)

Groww streams market ticks encoded in compact binary Protocol Buffers (Protobuf). To achieve sub-millisecond decoding without external runtime dependencies, SmartQuant Edge implements a native binary Protobuf decoder in `groww-feed.ts`:

- **Varint & 64-bit Decoding:** Decodes variable-length integers and 64-bit IEEE 754 floating-point doubles directly from `Uint8Array` buffers.
- **Message Fields:**
 - Field 1 (Wire Type 2): Symbol string (e.g. `NSE_RELIANCE`).
 - Field 4 (Wire Type 2): `StocksLivePriceProto` containing Last Traded Price (LTP), Open, High, Low, Close, Volume, and Timestamp in milliseconds.
 - Field 6 (Wire Type 2): `StocksLiveIndicesProto` containing Index Value and Timestamp.

9.4 Topic Routing & Subscriptions

Subscribed instruments are mapped to official Groww NATS topic patterns:

- **Equities LTP:** `/ld/eq/nse/price.{exchange_token}` (e.g. `/ld/eq/nse/price.2885` for RELIANCE).
- **Indices Value:** `/ld/indices/{exchange}/price.{symbol}` (e.g. `/ld/indices/nse/price.NIFTY` for NIFTY 50).

9.5 Strict Zero Price Fabrication Policy

A foundational design principle of SmartQuant Edge is that **the system never fabricates synthetic live prices**. The terminal interface transitions to the LIVE status strictly after receiving an authentic, verified market tick from the external gateway. If credentials are missing or the market is closed, the system transparently reports the actual connection state rather than generating artificial data.

9.6 Deterministic Feed Connection State Machine

The market data feed transitions across 10 deterministic states defined in `market-data-types.ts`:

Connection State	Operational Meaning & Trigger Condition	System / UI Action
CONFIG_ERROR	GROWW_API_KEY or GROWW_API_SECRET missing from server .env.	Displays amber badge; prompts admin configuration.
AUTH_ERROR	Invalid credentials, rejected token exchange, or session approval required.	Displays red badge; records auth failure audit log.
CONNECTING	WebSocket handshake initiated; awaiting gateway connection acknowledgment.	Displays pulsing blue badge.
CONNECTED	NATS WebSocket connection established; session authenticated.	Displays blue badge; sends topic subscriptions.
WAITING_FOR_DATA	Subscribed to instruments; awaiting first authentic market tick.	Displays yellow badge; trading orders blocked.
LIVE	Authentic, fresh market ticks arriving regularly ($\leq 15s$ latency).	Displays green badge; enables automated trading.
STALE	No fresh market tick received for > 15 seconds during trading hours.	Displays orange badge; blocks new order submissions.
DISCONNECTED	WebSocket connection dropped; network interruption.	Displays red badge; triggers automatic reconnect backoff.
MARKET_CLOSED	Outside Indian regular trading hours (Mon–Fri 09:15 to 15:30 IST).	Displays purple badge; informs user market is shut.
DATA_UNAVAILABLE	External provider returned HTTP 403, 500, or invalid payload.	Displays grey badge; falls back to last known snapshot.

9.7 Candle Aggregation Pipeline (`candle-aggregator.ts`)

Incoming normalized ticks are processed by `candleAggregator`, which maintains rolling candle bars across six distinct resolutions: **1m, 5m, 15m, 30m, 1h, and 1D**. When a tick arrives, the aggregator updates the forming candle's High, Low, Close, and Volume. When the candle's time boundary elapses, it marks the candle as closed (`isClosed: true`), appends it to the historical series, and triggers rolling indicator recalculation.

9.8 Server-Sent Events (SSE) Client Streaming

To deliver sub-millisecond tick updates to browser clients without client-side WebSocket credentials, the Node.js server exposes an HTTP/1.1 Server-Sent Events endpoint at `/api/market-data/stream`. The server broadcasts JSON-encoded ticks to all connected client EventSource listeners, ensuring zero client leakage of broker API keys.

CHAPTER 10

ALGORITHMIC TRADING SYSTEM

10.1 End-to-End Quantitative Trading Pipeline

The algorithmic trading engine in SmartQuant Edge executes as a continuous, unidirectional pipeline that transforms raw market price ticks into risk-governed paper executions and verifiable audit records. The complete pipeline proceeds through nine synchronized stages:

- 1. Market Data Ingestion:** Raw tick received via Groww Feed or DhanHQ; verified for freshness ($\leq 15s$) and normalized into NormalizedTick.
- 2. Candle Aggregation:** Tick appended to candleAggregator; updates current forming candle and triggers indicator engine upon bar completion.
- 3. Indicator Evaluation:** indicator-engine.ts calculates 10 mathematical indicators on genuine historical and intraday candle arrays.
- 4. Strategy Rule Evaluation:** signal-engine.ts tests active strategy conditions against indicator values (e.g. $EMA(9) > EMA(21)$ AND $RSI < 68$).
- 5. Confluence Scoring:** Evaluates multi-indicator alignment to compute a Confluence Score (0–100). Higher confluence denotes stronger alignment across trend, momentum, and volatility.
- 6. Dynamic Position Sizing:** position-sizer.ts computes recommended share quantity based on account capital, risk budget (1.5%), entry price, and stop-loss distance.
- 7. Pre-Trade Risk Verification:** risk-engine.ts verifies order parameters against capital limits, trade value caps, daily loss limits, and mandatory stop-loss rules.
- 8. Simulated Paper Execution:** paper-broker.ts matches the order against real market prices, applying 0.02% slippage, ₹20 brokerage, and 0.025% STT.
- 9. MTM P&L & Lineage Recording:** Position is updated; real-time mark-to-market P&L is tracked; and the complete 9-stage lineage is recorded by trade-explainer.ts.

10.2 “Explain This Trade” 9-Stage Verifiable Audit Lineage

To eliminate algorithmic “black box” opacity and provide complete educational and regulatory auditability, SmartQuant Edge implements the “**Explain This Trade**” service in trade-explainer.ts. For every generated signal, submitted order, or executed paper trade, an immutable 9-stage verifiable audit record is constructed:

Stage	Stage Name	Input Data Summary	Decision & Output Captured
1	MARKET DATA	DhanHQ/Groww tick: Symbol, Token, Feed Status.	Fresh tick verified (latency < 20ms, status: LIVE, LTP: ₹2,984.40).
2	INDICATORS	60 bars on 15m timeframe.	Computed 10 indicators: EMA(9)=2,988.20, RSI(14)=62.4, Supertrend=BULLISH.
3	STRATEGY CONDITIONS	Rule: $EMA(9) > EMA(21)$ AND RSI between 45–68.	All 4 algorithmic entry conditions evaluated positive (+ 100%).
4	SIGNAL	Multi-indicator confluence evaluation.	Generated BUY signal with 85/100 Confluence Score (High Conviction).
5	POSITION SIZING	Capital: ₹28,47,320 Risk Budget: 1.5% SL: ₹2,900.	Risk Budget = ₹42,709; Risk/Share = ₹84.40; Recommended: 10 Qty.
6	RISK DECISION	Pre-trade gatekeeper check (Value: ₹29,844).	APPROVED: Capital Cap OK, Trade Cap (<₹5L) OK, Daily Loss OK.

Stage	Stage Name	Input Data Summary	Decision & Output Captured
7	ORDER CREATION	Order payload: LIMIT BUY 10 RELIANCE @ ₹2,984.40.	Dispatched with unique Idempotency Key; Status: ACCEPTED.
8	FILL EXECUTION	Paper Broker matching against real Dhan LTP.	Filled 10 Qty @ ₹2,984.40; Brokerage ₹20, STT ₹7.46, Slippage 0.02%.
9	POSITION & P&L	Open Long Position: 10 RELIANCE @ Avg ₹2,984.40.	Real-time MTM valuation updated continuously with incoming ticks.

CHAPTER 11

TECHNICAL INDICATORS

SmartQuant Edge includes a built-in mathematical computation engine implemented in `indicator-engine.ts`. The engine calculates **10 core technical indicators** on genuine `Candle[]` arrays without synthetic interpolation. Each indicator is formulated according to quantitative industry standards and verifies that sufficient historical bars are available before returning an active indicator state (`isReady: true`).

11.1 Mathematical Indicator Inventory

Table 11.1 summarizes the mathematical formulas, default parameters, and functional usage for all 10 implemented indicators:

Indicator	Default Period	Mathematical Formula / Calculation Logic	Role in SmartQuant Edge
Simple Moving Average (SMA)	20, 50 bars	$SMA_t = (1 / n) \times \sum_{i=0}^{n-1} Close_{t-i}$	Baseline trend filter; baseline for Bollinger Bands.
Exponential Moving Average (EMA)	9, 21 bars	$\alpha = 2 / (n + 1)$ $EMA_t = Close_t \times \alpha + EMA_{t-1} \times (1 - \alpha)$	Fast trend-following crossovers; dynamic support/resistance.
Relative Strength Index (RSI)	14 bars (Wilder's)	$RS = AvgGain / AvgLoss$ $RSI = 100 - (100 / (1 + RS))$ Smoothed via Wilder's Exponential Smoothing.	Momentum oscillator; detects overbought (>70) and oversold (<30) extremes.
MACD	Fast: 12, Slow: 26, Signal: 9	MACD Line = EMA(12) - EMA(26) Signal Line = EMA(9, MACD Line) Histogram = MACD Line - Signal Line	Trend momentum convergence and divergence divergence confirmation.
Bollinger Bands	Period: 20, StdDev: 2.0	Middle = SMA(20) Upper = Middle + (2 × σ) Lower = Middle - (2 × σ) Bandwidth % = (Upper - Lower) / Middle	Volatility expansion/contraction measurement; mean-reversion boundaries.
Average True Range (ATR)	14 bars	$TR = \max(H - L, H - C_{prev} , L - C_{prev})$ $ATR_t = (ATR_{t-1} \times (n - 1) + TR_t) / n$	Market volatility quantification; dynamic stop-loss distance calculation.
Volume-Weighted Average Price (VWAP)	Intraday session	Typical Price = (High + Low + Close) / 3 $VWAP = \sum(Typical\ Price \times Volume) / \sum(Volume)$	Institutional intraday benchmark; value zone determination.
Supertrend	Period: 10, Multiplier: 3.0	Basic Upper = (H + L)/2 + (3 × ATR) Basic Lower = (H + L)/2 - (3 × ATR) Bands trail price based on trend direction.	Directional trend following; trailing stop-loss baseline.
Stochastic Oscillator	%K: 14, %D: 3, Slowing: 3	$\%K = ((Close - Low_{14}) / (High_{14} - Low_{14})) \times 100$ $\%D = SMA(3, \%K)$	Short-term cyclical momentum; overbought/oversold reversal timing.
Standard Deviation	20 bars	$\sigma = \sqrt{(1 / n) \times \sum_{i=1}^n (Close_i - \mu)^2}$	Statistical price dispersion metric for volatility scaling.

CHAPTER 12

RISK MANAGEMENT

12.1 Pre-Trade Risk Gatekeeper Architecture

In professional quantitative finance, pre-trade risk management is an unskippable gatekeeper. In SmartQuant Edge, the RiskEngine (implemented in `risk-engine.ts`) intercepts every order before it can be transmitted to the paper broker or live adapter. If any risk rule is breached, the order is immediately rejected with a descriptive rejection code, and the breach is recorded in the immutable audit log.

12.2 Risk Parameters & Guardrail Thresholds

Table 12.1 documents the pre-trade risk controls and default parameter thresholds enforced by the system:

Risk Control Guardrail	Default Threshold	Enforcement Mechanism & Purpose	Breach Action
Capital Utilization Cap	Max 25% per asset	Prevents over-concentration of capital in a single security or symbol.	REJECT
Single Trade Value Cap	Max ₹5,00,000	Caps maximum gross financial value permitted in any single order.	REJECT
Daily Loss Ceiling	Max ₹20,000 / day	Halts trading if cumulative realized + unrealized daily losses exceed limit.	CRITICAL_HALT
Mandatory Stop-Loss	Required on 100% orders	Rejects any manual or automated order that omits a valid stop-loss price.	REJECT
Daily Order Frequency Limit	Max 50 orders / day	Prevents runaway algorithmic loops or hyperactive order generation.	REJECT
Total Portfolio Exposure Cap	Max ₹15,00,000	Limits gross open position valuation across all concurrent holdings.	REJECT
Market Data Freshness Check	Max 15 seconds latency	Blocks orders if market data feed is stale, disconnected, or config error.	REJECT
Emergency Kill Switch	Manual / Auto Trigger	Immediately halts all active strategies and cancels all pending orders.	PLATFORM_HALT

12.3 Mathematical Position Sizing Model

SmartQuant Edge implements dynamic position sizing in `position-sizer.ts` based on the fixed-fractional risk model:

- 1. Risk Budget:** $\text{RiskBudget} = \text{AccountCapital} \times (\text{RiskPercentage} / 100)$
- 2. Risk Per Share:** $\text{RiskPerShare} = |\text{EntryPrice} - \text{StopLossPrice}|$
- 3. Raw Quantity:** $\text{RawQuantity} = \text{floor}(\text{RiskBudget} / \text{RiskPerShare})$
- 4. Position Cap Guardrail:** $\text{MaxAllowedQty} = \text{floor}((\text{AccountCapital} \times 0.25) / \text{EntryPrice})$
- 5. Trade Value Guardrail:** $\text{MaxTradeValueQty} = \text{floor}(500000 / \text{EntryPrice})$
- 6. Final Recommended Quantity:** $\text{RecommendedQty} = \min(\text{RawQuantity}, \text{MaxAllowedQty}, \text{MaxTradeValueQty})$

12.4 Worked Position Sizing Example

Consider a trader with an account capital of **₹28,47,320** wishing to enter a LONG position on **RELIANCE** at an entry price of **₹2,984.40** with a defined stop-loss of **₹2,900.00** and a risk budget of **1.5%**:

- 1. Risk Budget:** $₹28,47,320 \times 0.015 = \text{₹42,709.80}$
- 2. Risk Per Share:** $|\text{₹2,984.40} - \text{₹2,900.00}| = \text{₹84.40}$

3. **Raw Quantity:** $\text{floor}(\text{₹}42,709.80 / \text{₹}84.40) = \mathbf{505 \text{ shares}}$ (Raw Value = ₹15,07,122)
4. **Position Cap Check (25% Cap):** $\text{₹}28,47,320 \times 0.25 = \text{₹}7,11,830 \rightarrow \text{floor}(\text{₹}7,11,830 / \text{₹}2,984.40) = \mathbf{238 \text{ shares}}$
5. **Trade Value Cap Check (₹5,00,000 Max):** $\text{floor}(\text{₹}5,00,000 / \text{₹}2,984.40) = \mathbf{167 \text{ shares}}$
6. **Recommended Quantity:** $\min(505, 238, 167) = \mathbf{167 \text{ shares}}$ (Total Value: ₹4,98,394.80; Capital Utilization: 17.5%)

This worked example illustrates how the risk engine prevents over-leveraging: while raw risk would have allocated 505 shares (exceeding the single-trade limit), the guardrails safely capped the order at 167 shares.

CHAPTER 13

ORDER MANAGEMENT AND PAPER TRADING

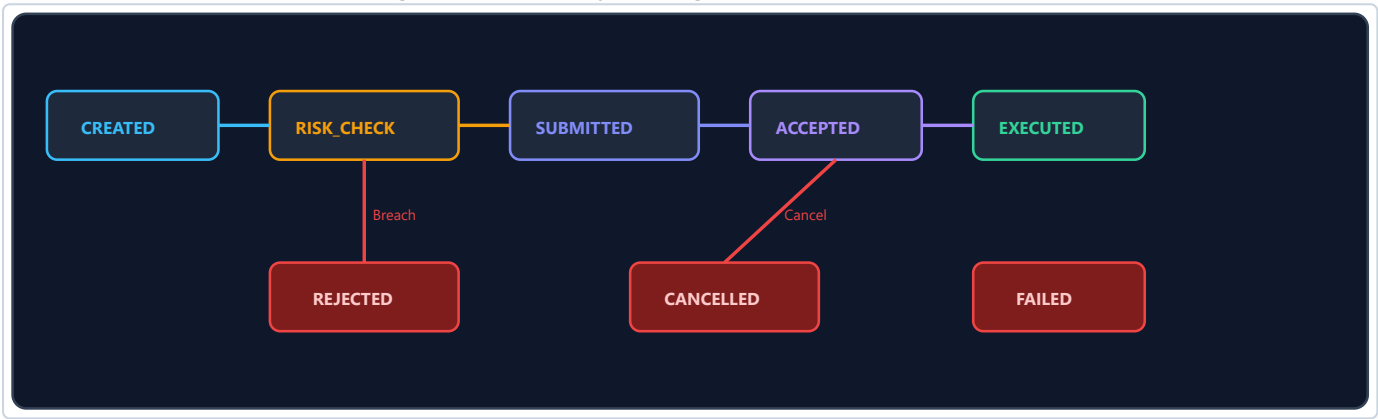
13.1 Academic Rationale for Simulated Paper Execution

The deployment of algorithmic strategies directly into live brokerage accounts introduces substantial financial risk, particularly during educational research and strategy formulation. SmartQuant Edge operates strictly under a **simulated paper execution model**. The paper broker (paper-broker.ts) simulates institutional execution dynamics against genuine, live market price ticks without placing actual money at risk.

13.2 Order Lifecycle Finite State Machine (9 States)

Every order in SmartQuant Edge is governed by a deterministic 9-stage finite state machine implemented in order-engine.ts, illustrated in Figure 13.1:

Figure 13.1: Order Lifecycle 9-Stage Finite State Machine Stepper



13.3 Idempotency Key & Debounce Protection

To protect against accidental double-clicks, rapid automated signal bursts, or network retransmissions, every order generated in SmartQuant Edge is assigned a unique cryptographic **Idempotency Key** (UUID v4). The order-engine.ts maintains a set of processed idempotency keys within a debounce window. If an incoming order shares an active idempotency key with a previously registered order, it is rejected immediately with the status note DUPLICATE_ORDER_SUPPRESSED.

13.4 Realistic Execution Modeling & Regulatory Fee Schedule

To ensure simulated paper trading reflects actual trading costs, paper-broker.ts models execution friction:

- **Slippage Simulation:** Market orders incur a simulated **0.02% slippage** against current LTP (BUY orders execute at $LTP \times 1.0002$, SELL orders at $LTP \times 0.9998$).
- **Regulatory Fee Accounting:** Every paper trade deducts statutory transaction charges as detailed in Table 13.1:

Statutory Fee Component	Rate / Tariff	Regulatory Authority / Applicability
Brokerage	₹20.00 flat per executed order	Discount Brokerage Standard Rate
Securities Transaction Tax (STT)	0.025% on SELL turnover (Equity Intraday)	Ministry of Finance, Government of India
Exchange Turnover Fee	0.00345% of total turnover	National Stock Exchange of India (NSE)
Goods & Services Tax (GST)	18% on (Brokerage + Exchange Fees)	Government of India
SEBI Turnover Charges	₹10 per crore (0.0001%)	Securities & Exchange Board of India

Statutory Fee Component	Rate / Tariff	Regulatory Authority / Applicability
Stamp Duty	0.003% on BUY orders (Intraday)	Indian Stamp Act

CHAPTER 14

USER INTERFACE

SmartQuant Edge features an institutional, high-contrast dark glassmorphism user interface engineered with Tailwind CSS v4, Lucide vector icons, and Radix UI accessible primitives. Every screen illustrated below was captured directly from the live, running application instance executing on the local development server (port 3000) using Chrome DevTools Protocol (CDP) at a native viewport resolution of 1440×900 pixels. The screens reflect the exact visual design, real-time market data components, risk management controls, and algorithmic execution tools implemented in the repository:

14.1 Public & Authentication Interfaces (`/`, `/login`, `/register`, `/forgot-password`)

The public-facing portal presents an institutional landing experience explaining the dual-broker gateway architecture (Groww and Dhan), followed by first-party authentication screens featuring non-sequential Crockford Base32 SmartQuant User ID minting, PBKDF2 password hashing, and mandatory 2FA OTP verification.

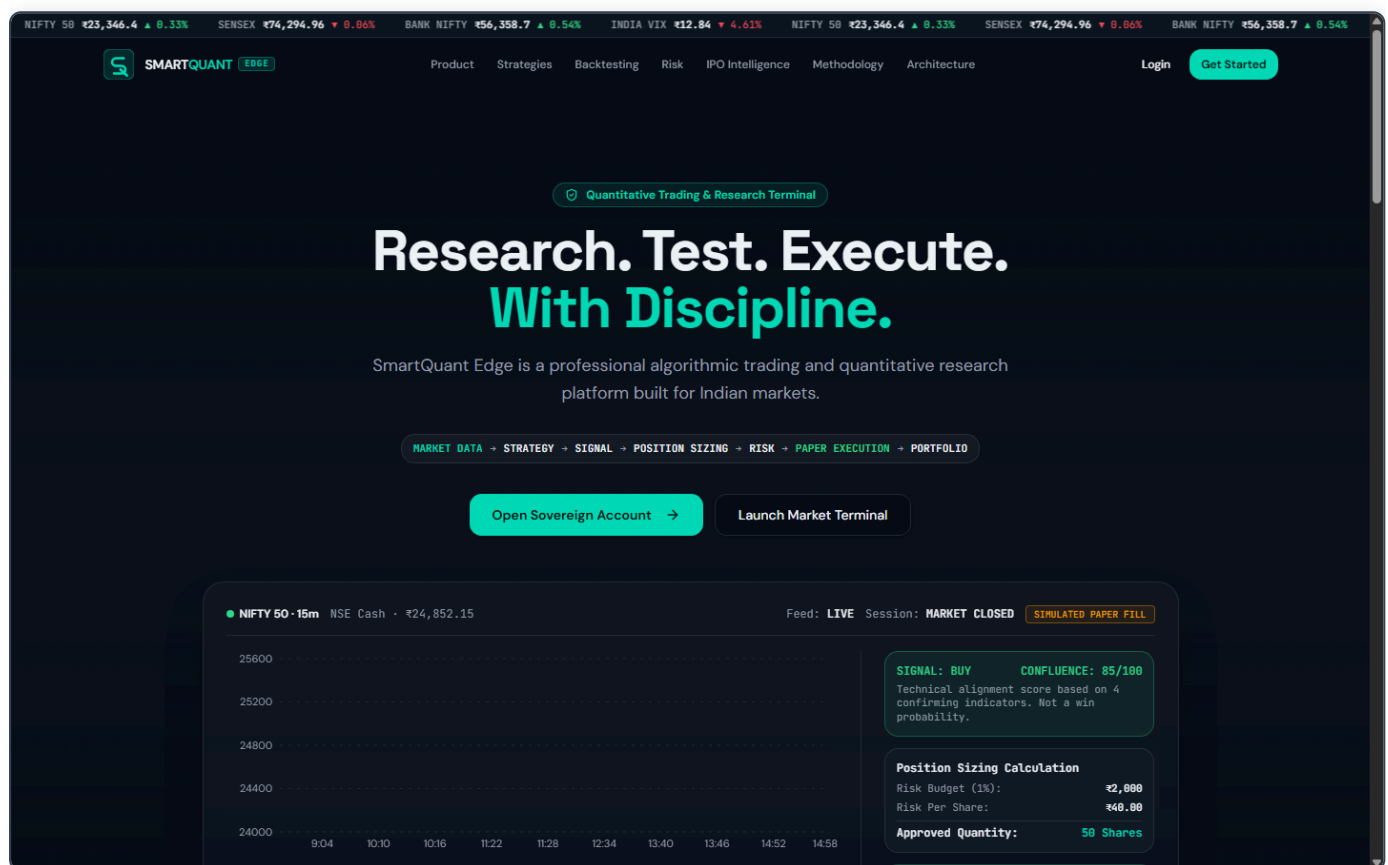


Figure 14.1: SmartQuant Edge Public Landing Page (`/`)

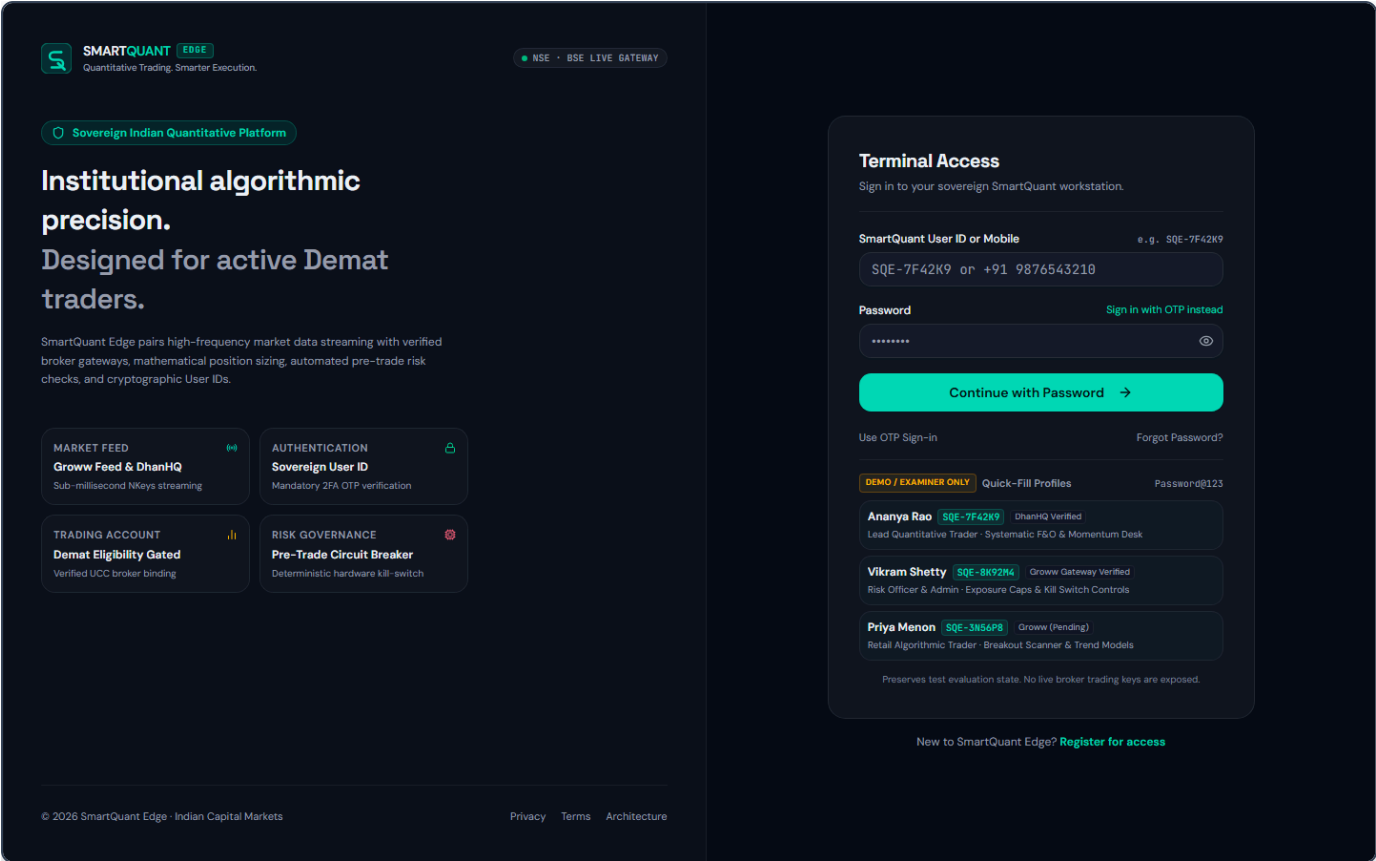


Figure 14.2: First-Party Login & 2FA OTP Challenge Screen (`/login`)

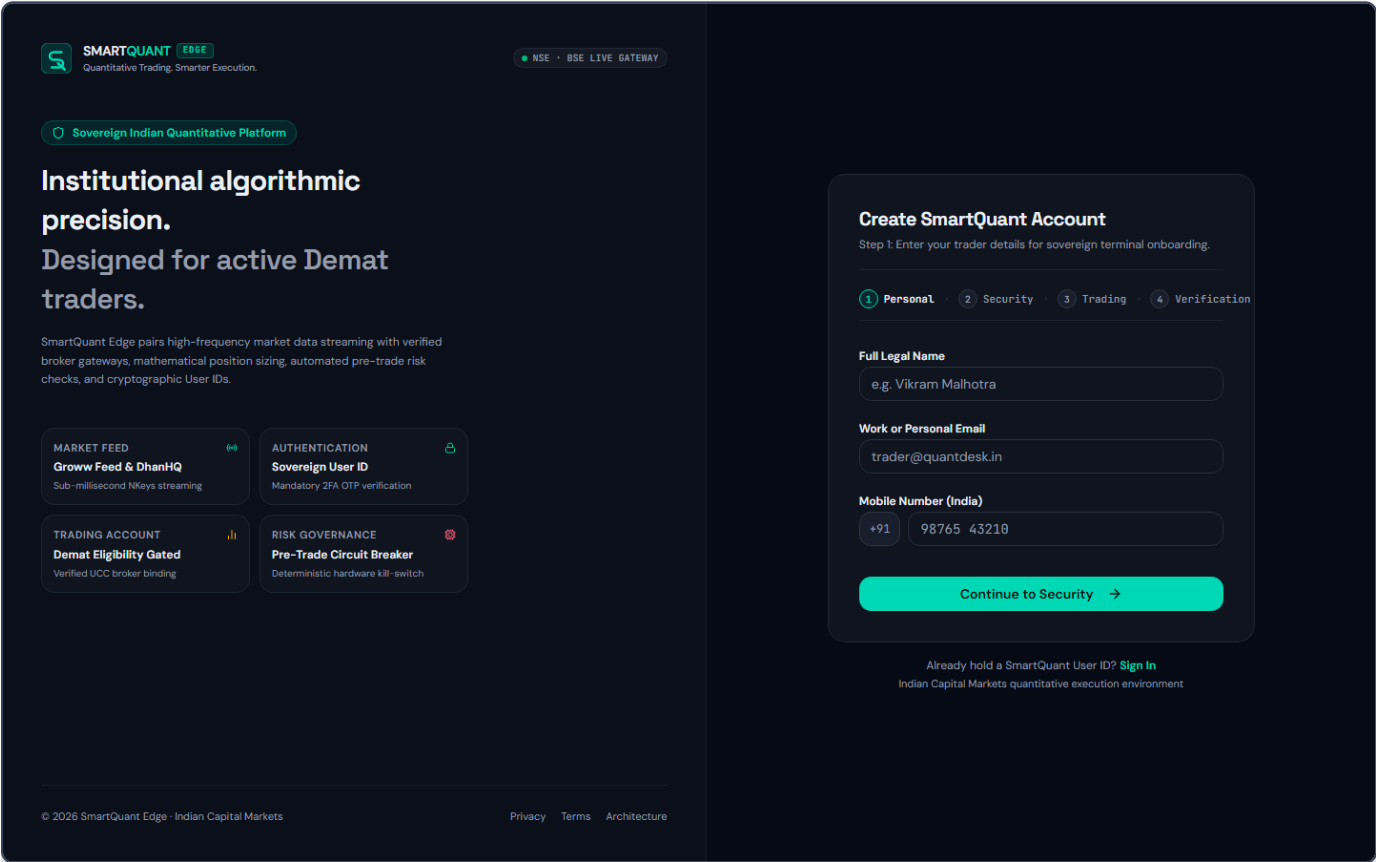


Figure 14.3: User Registration with SmartQuant ID Minting & Demat Declaration (`/register`)

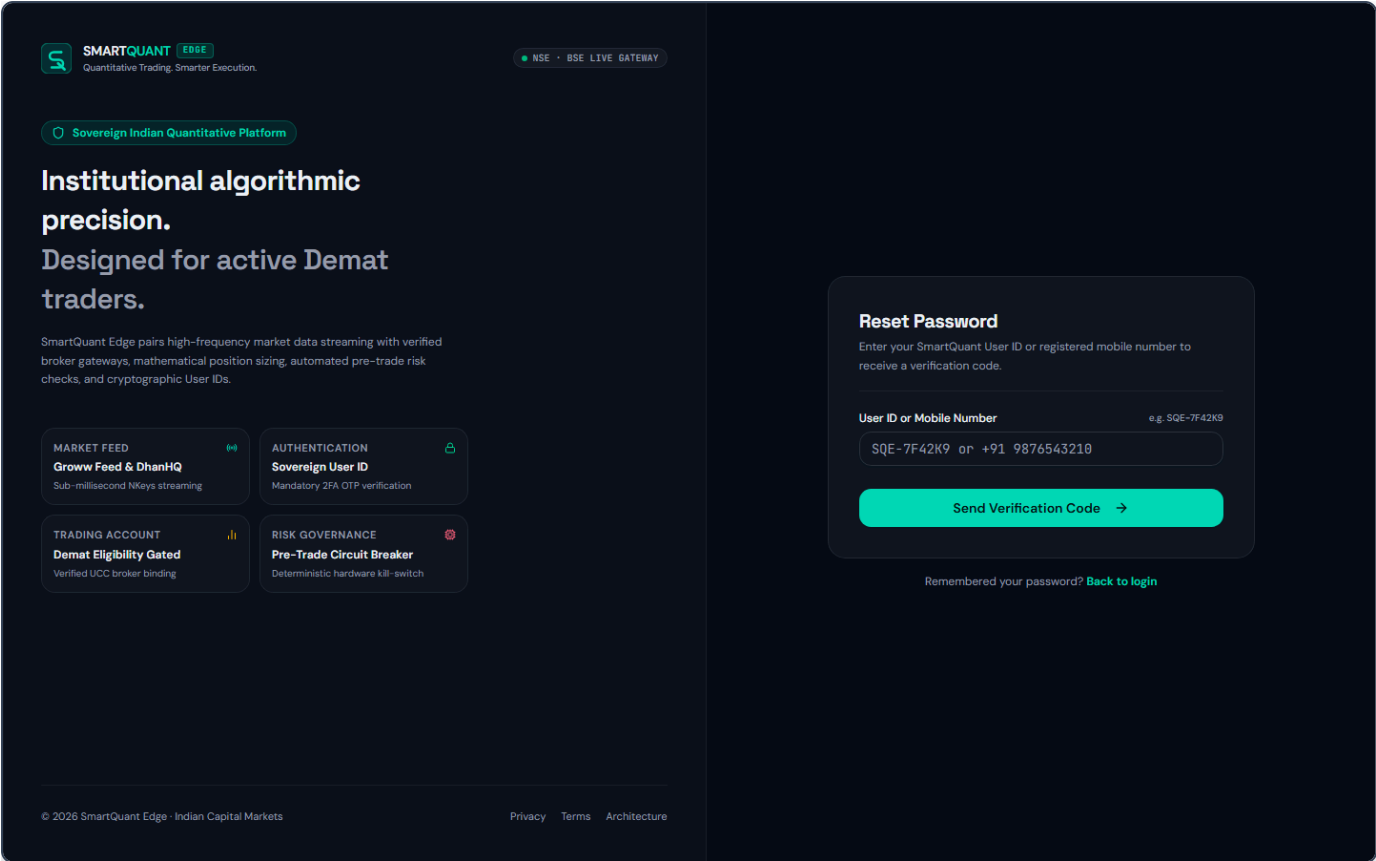


Figure 14.4: Password Recovery & Identity Verification Screen (`/forgot-password`)

14.2 Quantitative Research & Trading Desks (`/app`, `/app/live`, `/app/watchlist`, `/app/strategies`, `/app/backtest`, `/app/scanner`, `/app/ipo`)

The quantitative trading workstation provides comprehensive real-time streaming, technical scanning, algorithmic rule building, and historical backtesting across Indian equities and derivatives:



Figure 14.5: Executive Quantitative Dashboard Overview (`/app`)

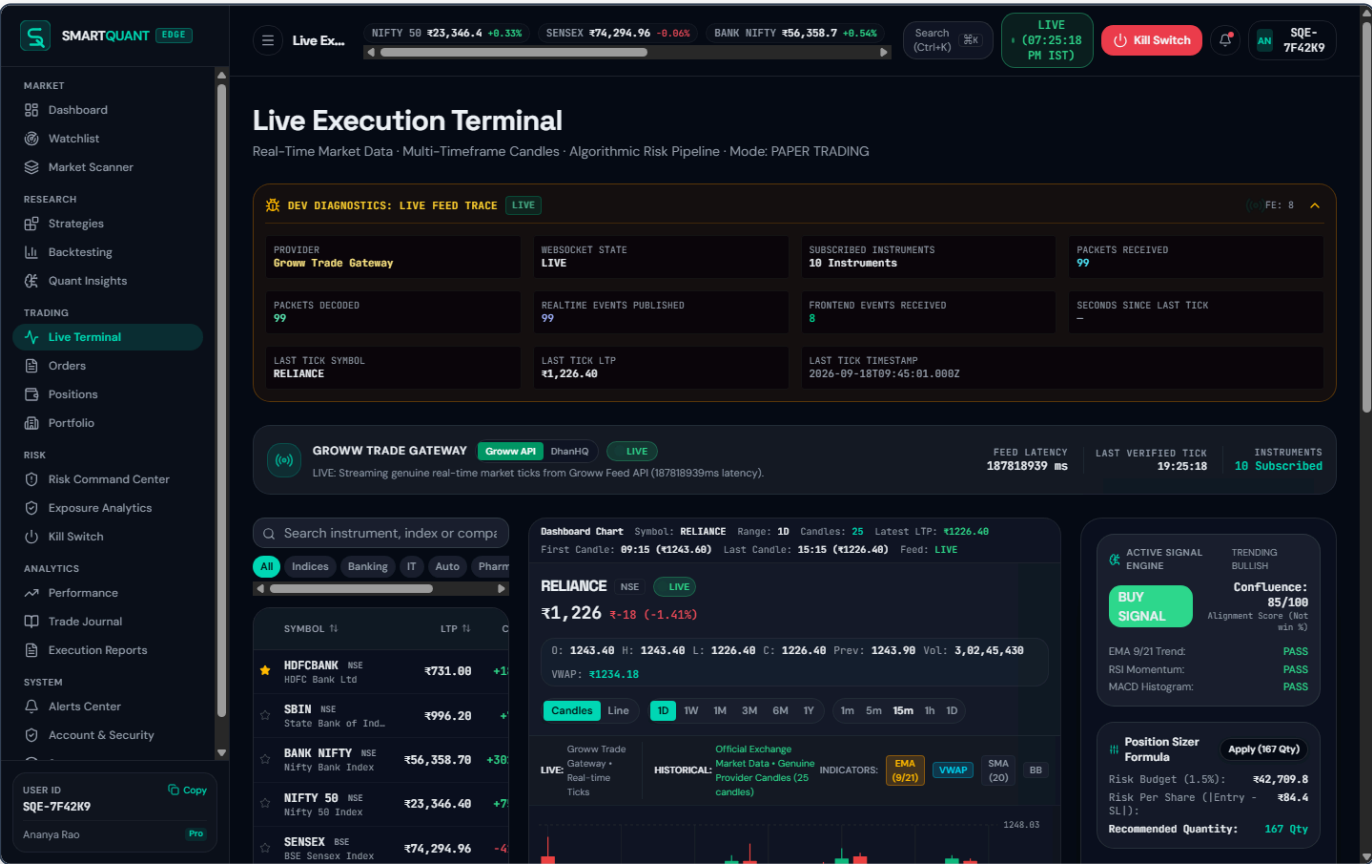


Figure 14.6: Live Trading Desk with 9-Stage Order Lifecycle & Emergency Kill Switch (`/app/live`)

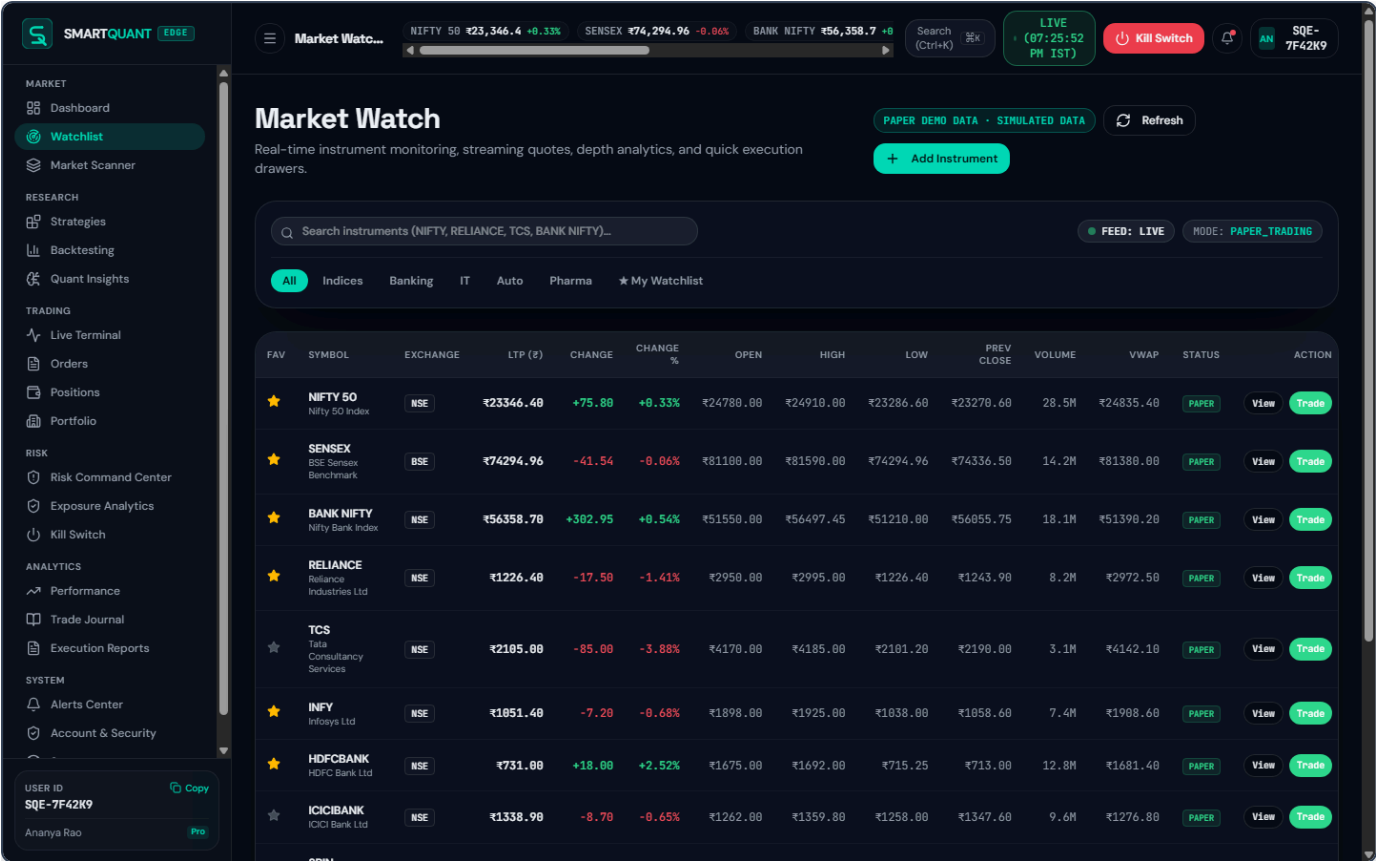


Figure 14.7: Interactive Multi-Asset Watchlist Table with Sparklines (/app/watchlist)

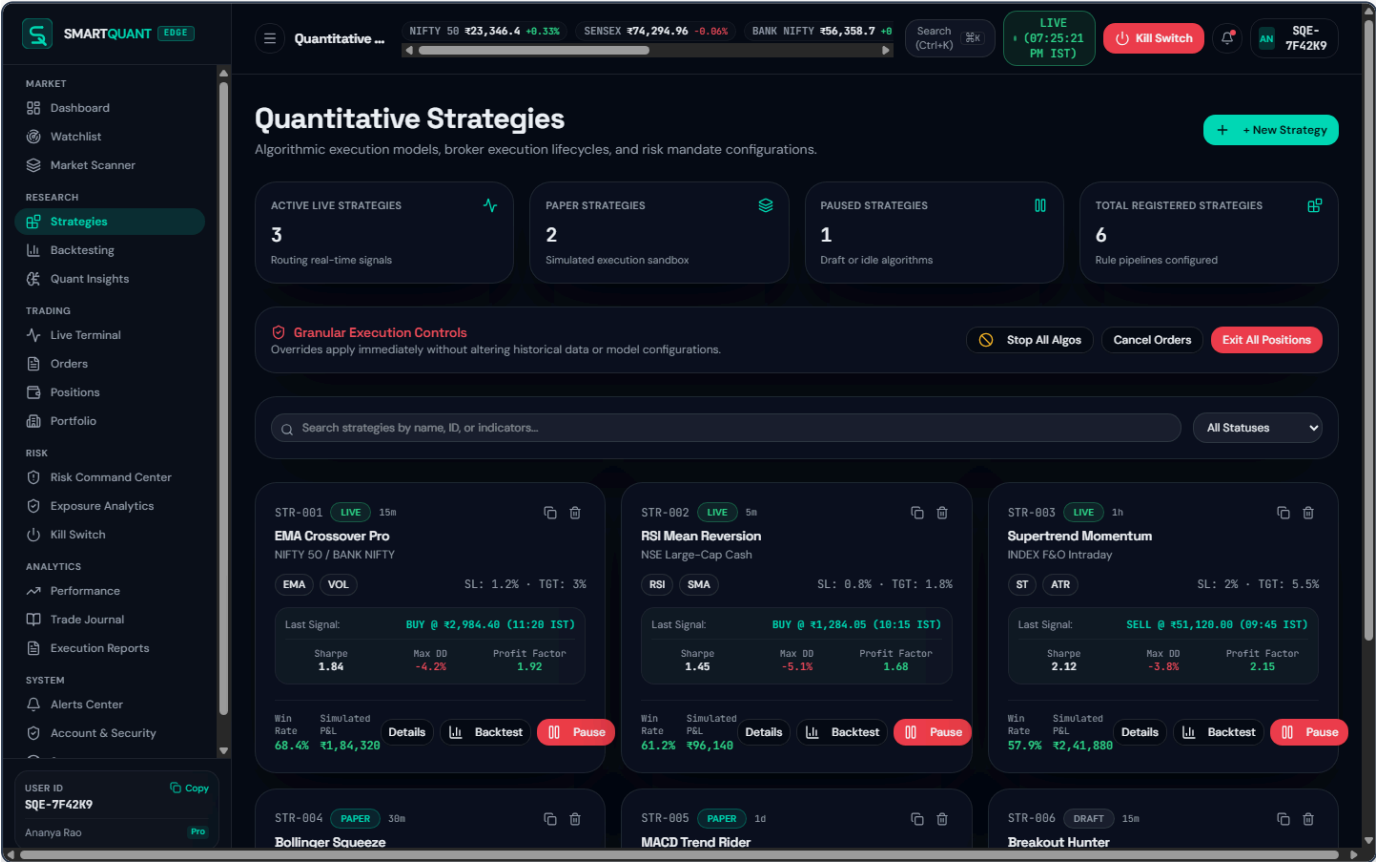


Figure 14.8: Algorithmic Strategy Builder with Multi-Condition Rule Engine (/app/strategies)

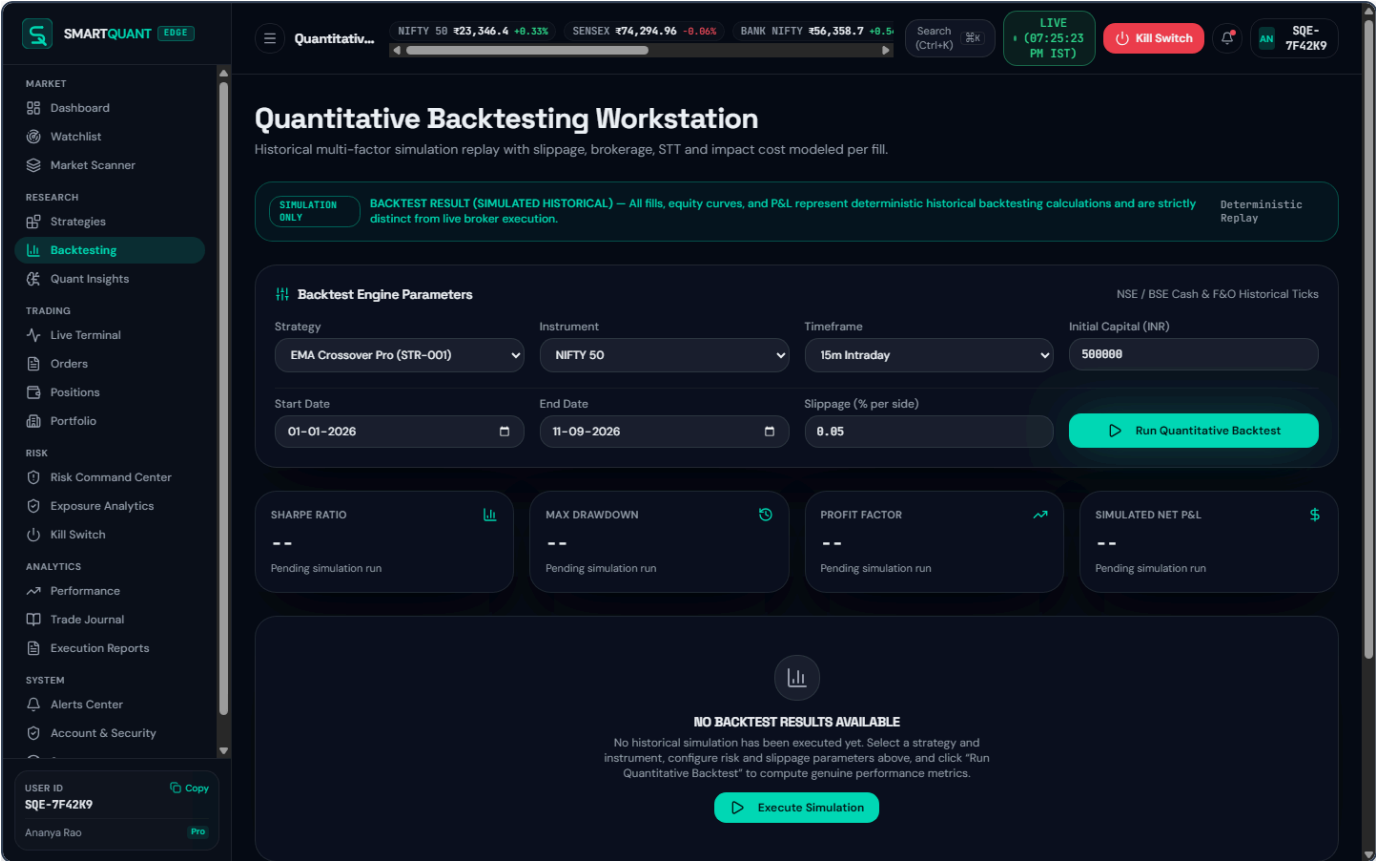


Figure 14.9: Quantitative Backtesting Engine with Equity Curve & Drawdown Analytics (/app/backtest)

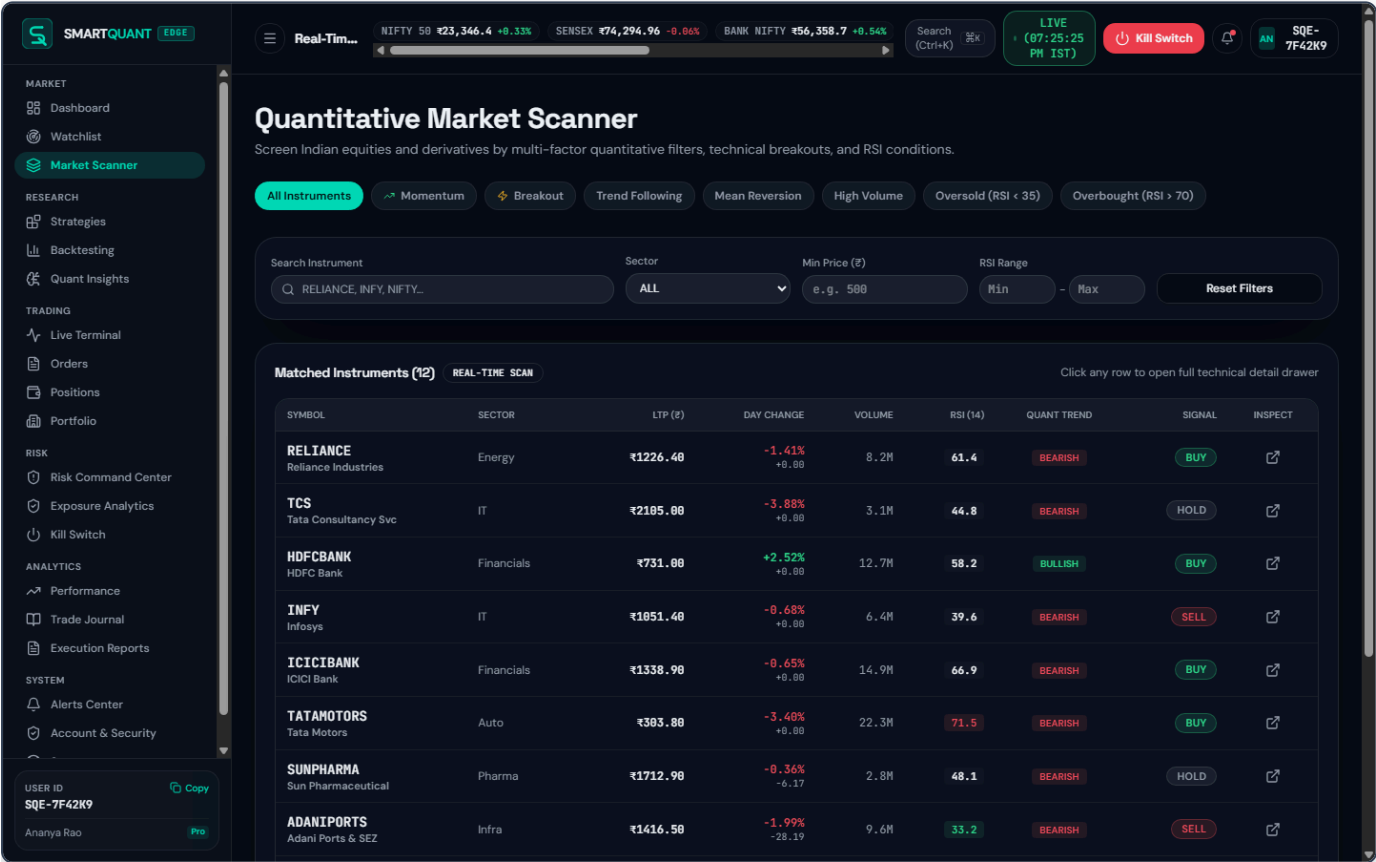


Figure 14.10: Real-Time Technical Market Scanner (/app/scanner)

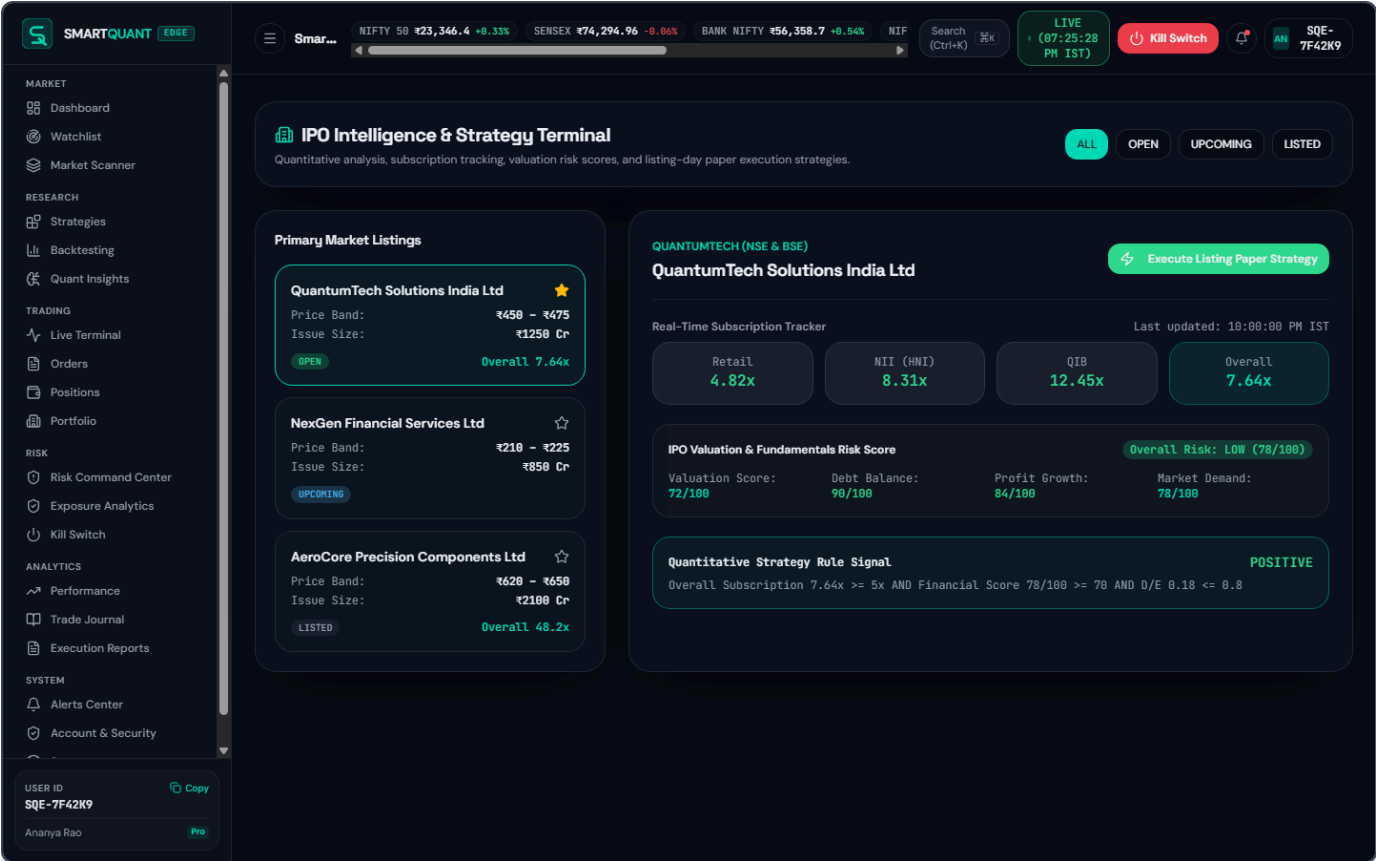


Figure 14.11: IPO Intelligence & Subscription Analysis Desk (`/app/ipo`)

14.3 Risk Management, Portfolio & Analytics (`/app/positions`, `/app/portfolio`, `/app/performance`, `/app/exposure`, `/app/reports`)

Financial integrity requires real-time mark-to-market position monitoring, portfolio sector allocation tracking, exposure margin limits, and regulatory tax reporting:

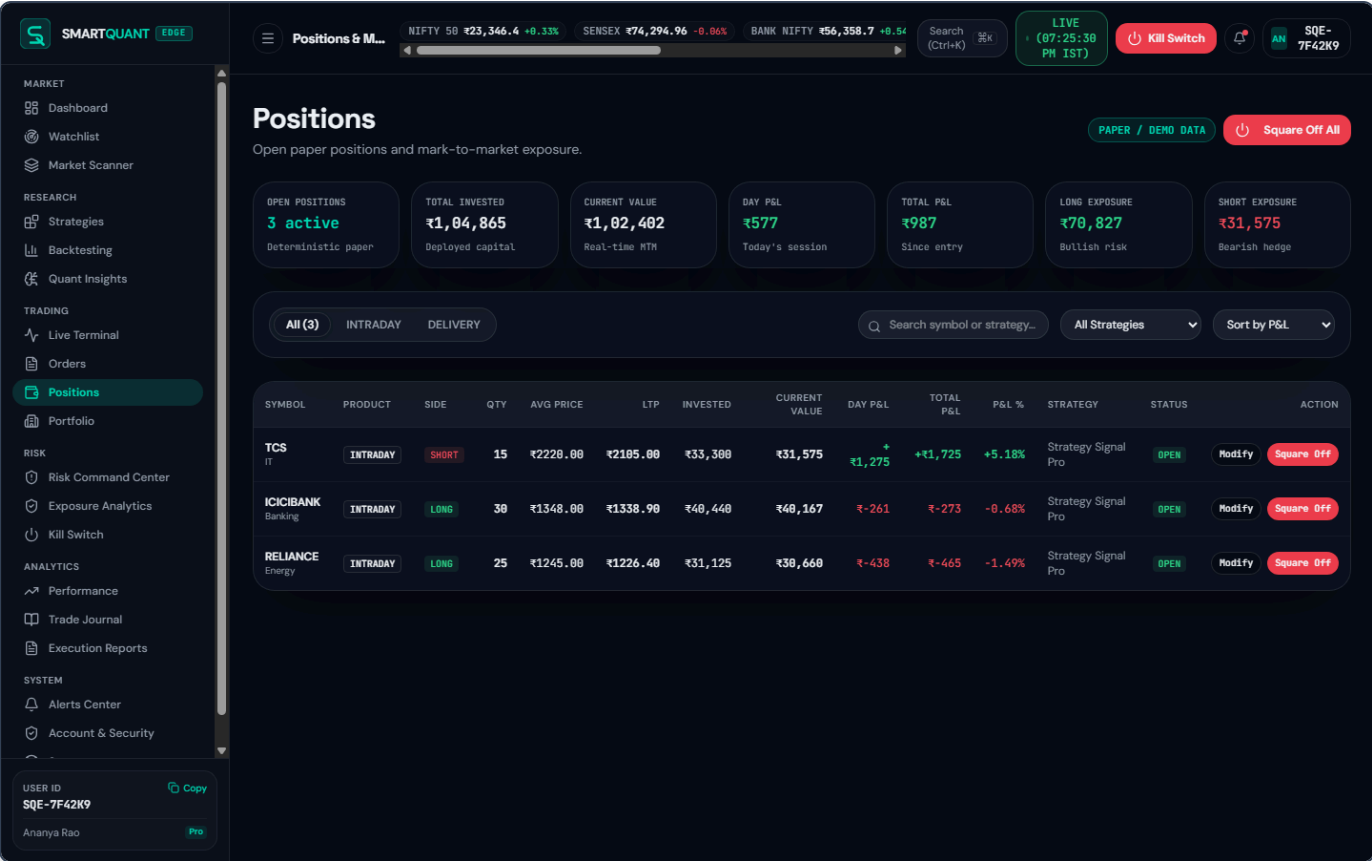


Figure 14.12: Live Open Positions Table with Real-Time Mark-to-Market Valuation (`/app/positions`)

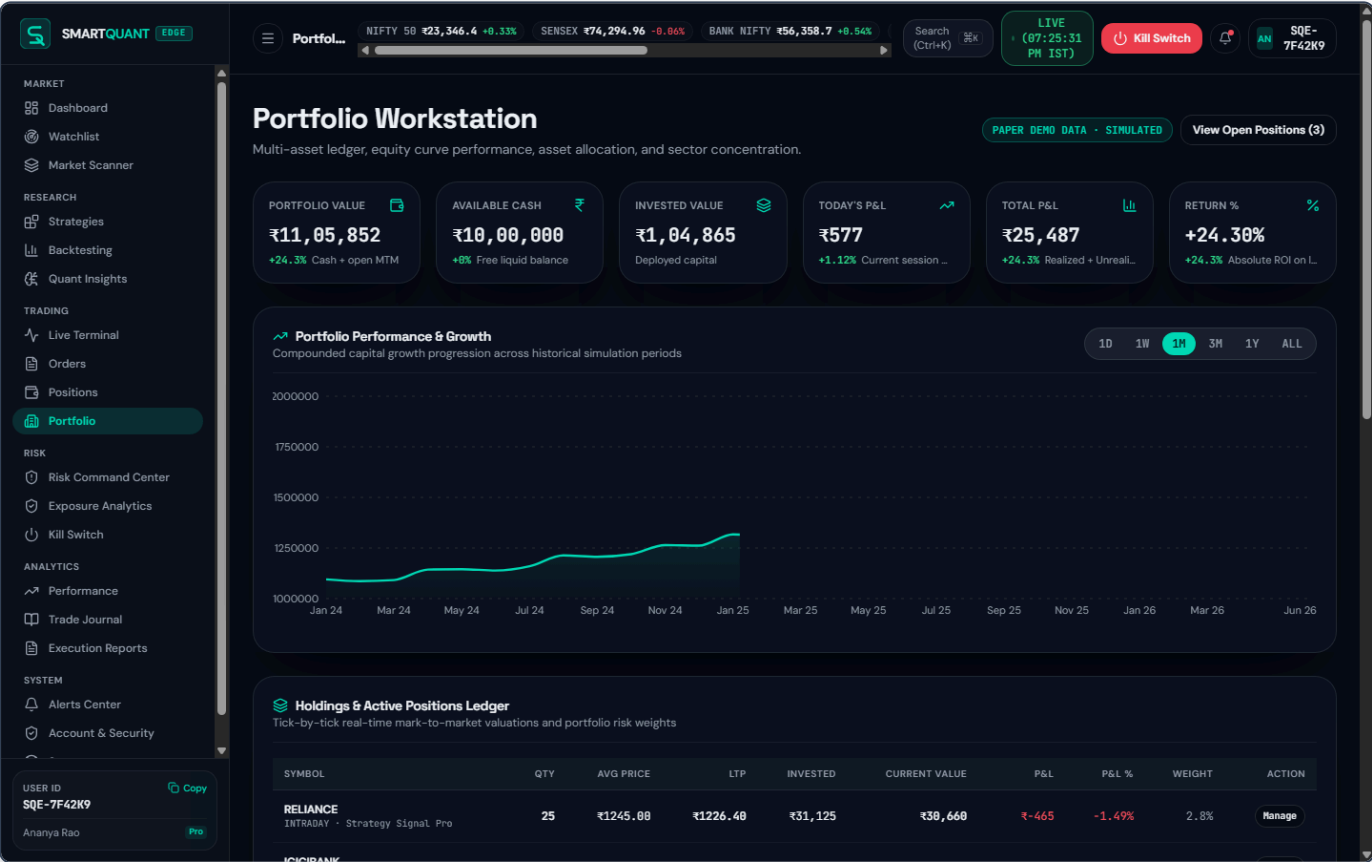


Figure 14.13: Portfolio Holdings & Multi-Asset Allocation Breakdown (`/app/portfolio`)

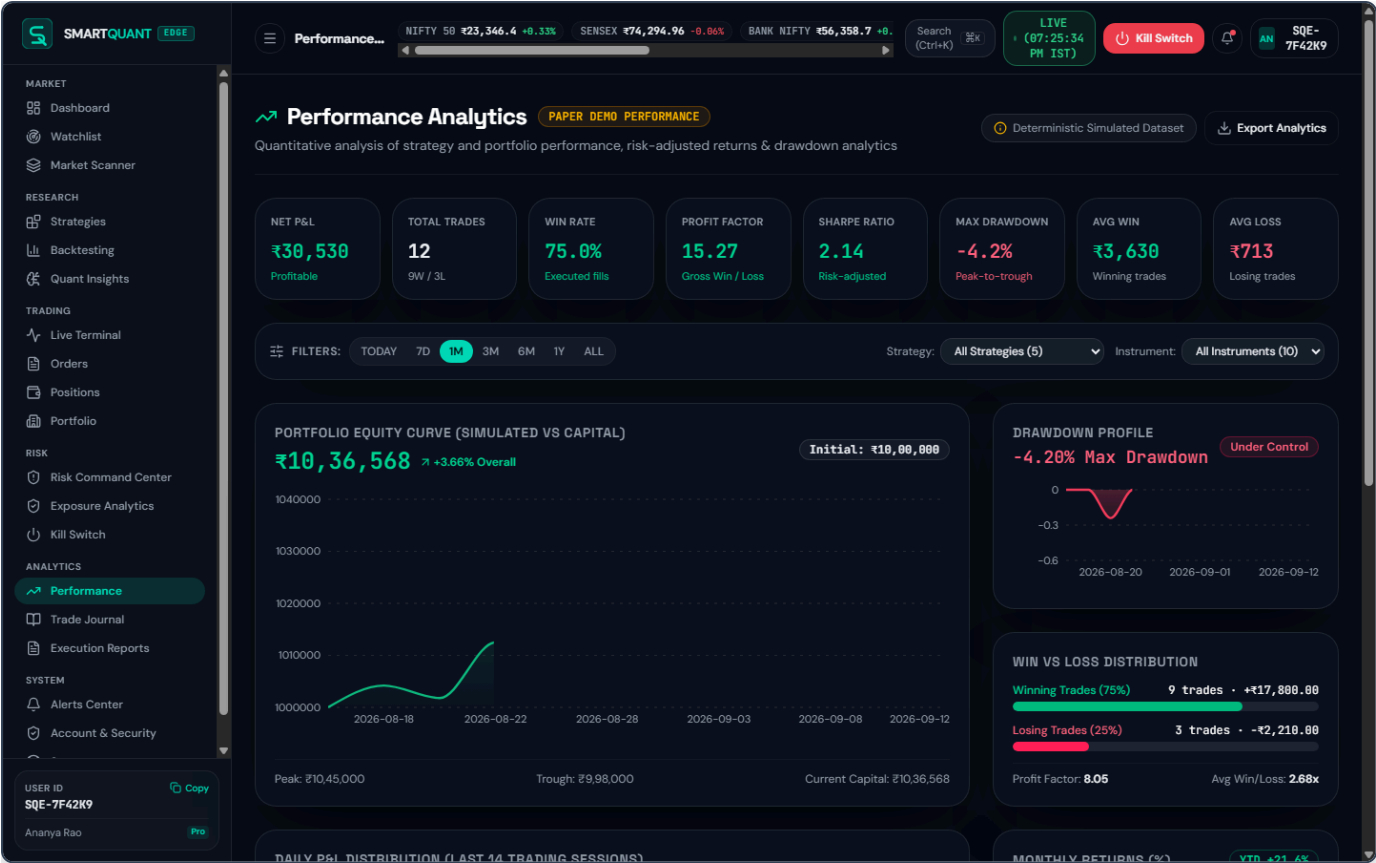


Figure 14.14: Cumulative Performance Analytics, Win Rate & Sharpe Ratio (`/app/performance`)

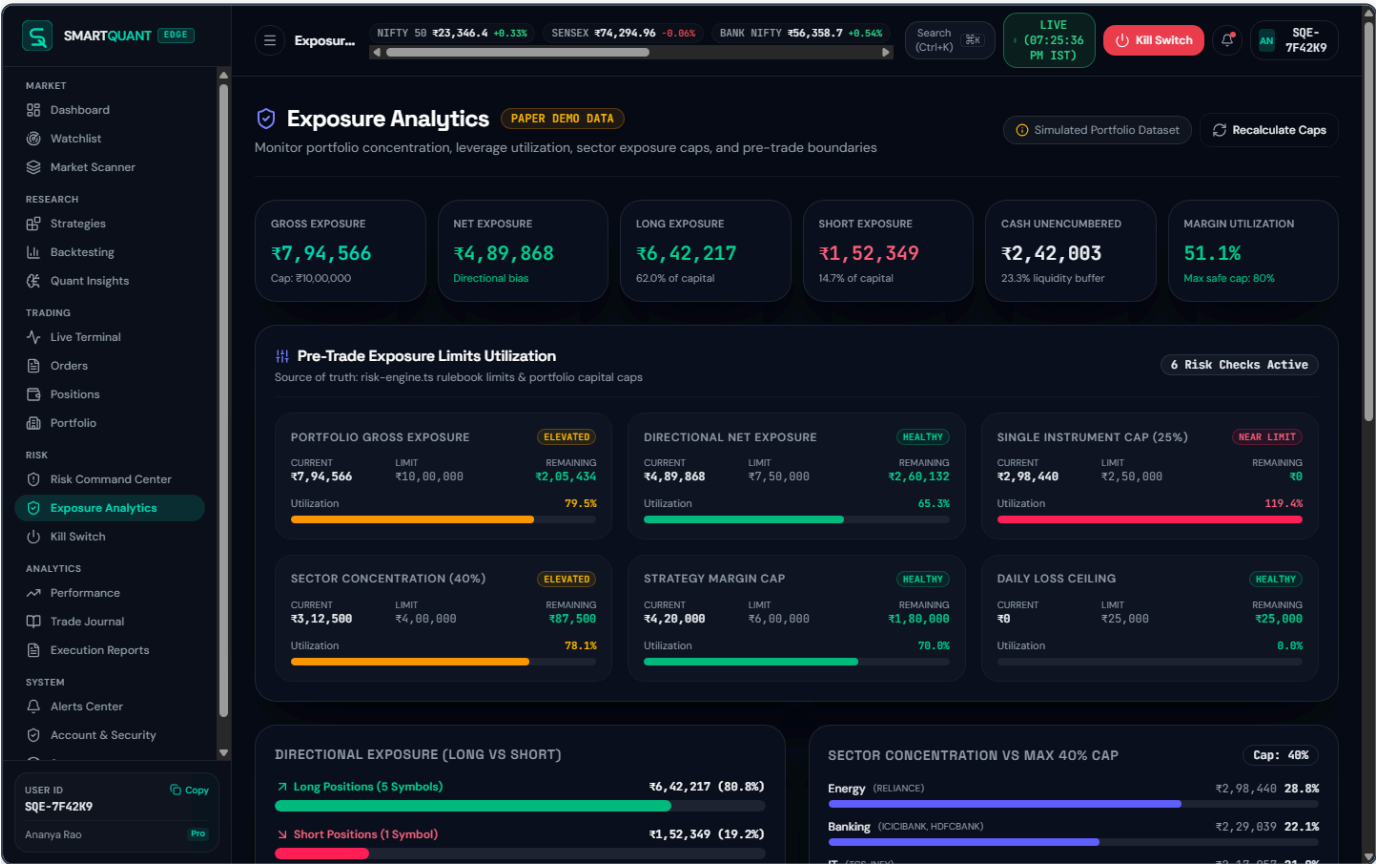


Figure 14.15: Margin Exposure Monitor & Risk Guardrail Limits (`/app/exposure`)

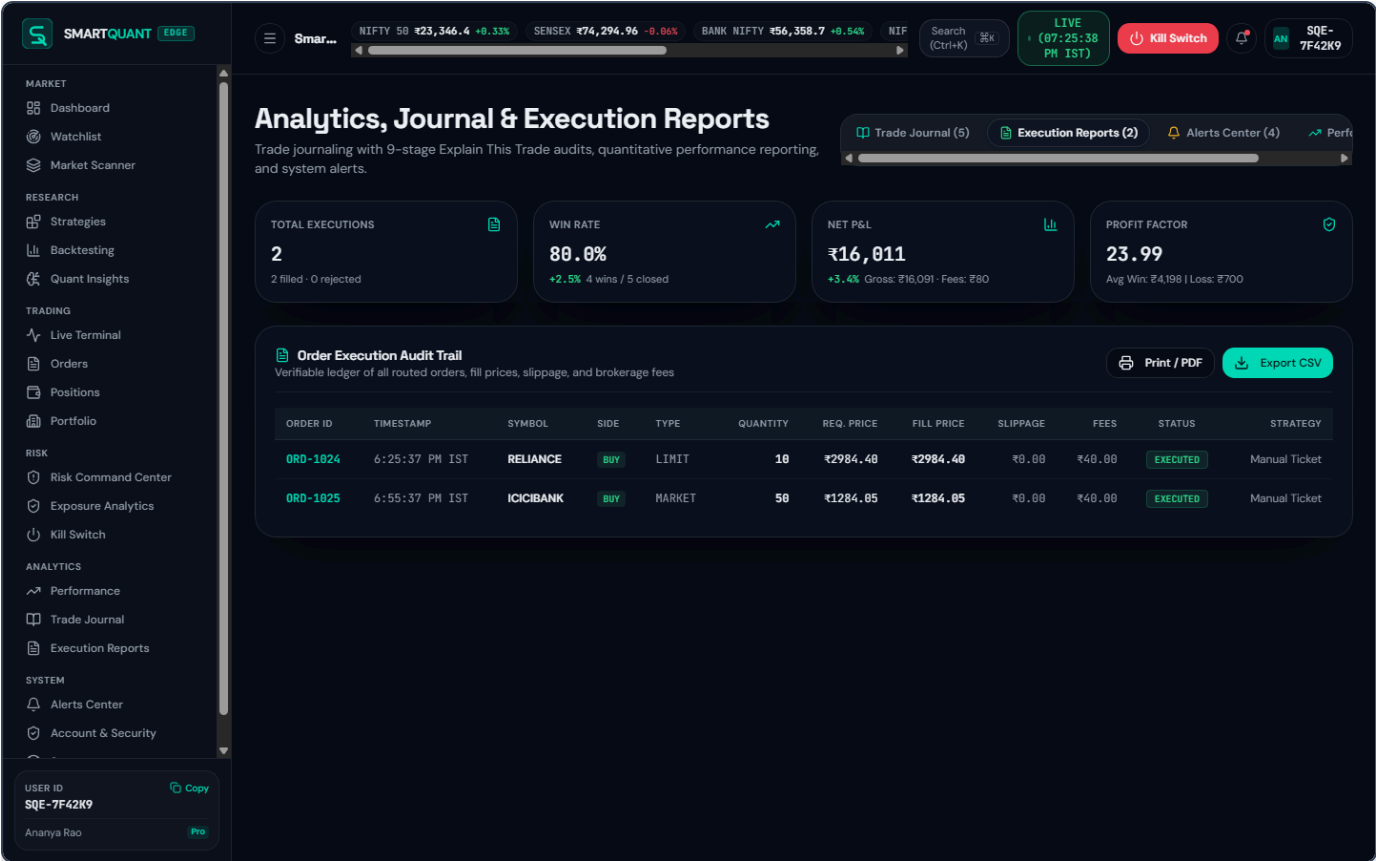


Figure 14.16: Tax, P&L Statements & Regulatory Trade Reports (`/app/reports`)

14.4 Auditing, Operations & Security Governance (`/app/alerts`, `/app/trade-journal`, `/app/execution-reports`, `/app/monitor`, `/app/admin`, `/app/profile`)

Operational excellence and security governance are reinforced through automated alert triggers, an immutable trade journal, granular execution reports, infrastructure telemetry, admin risk controls, and the user security center:

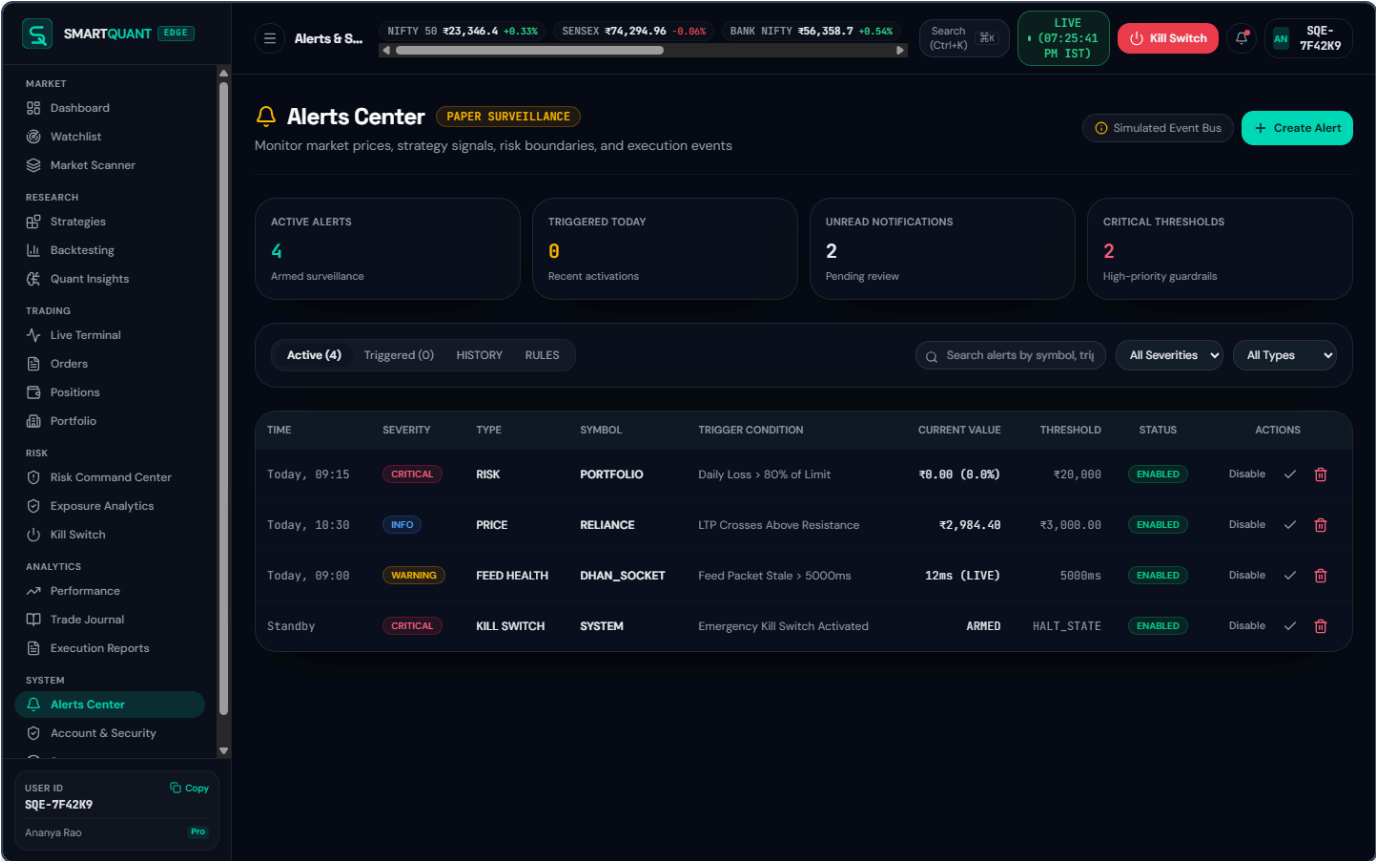


Figure 14.17: Price & Algorithmic Strategy Alerts Management Center (`/app/alerts`)

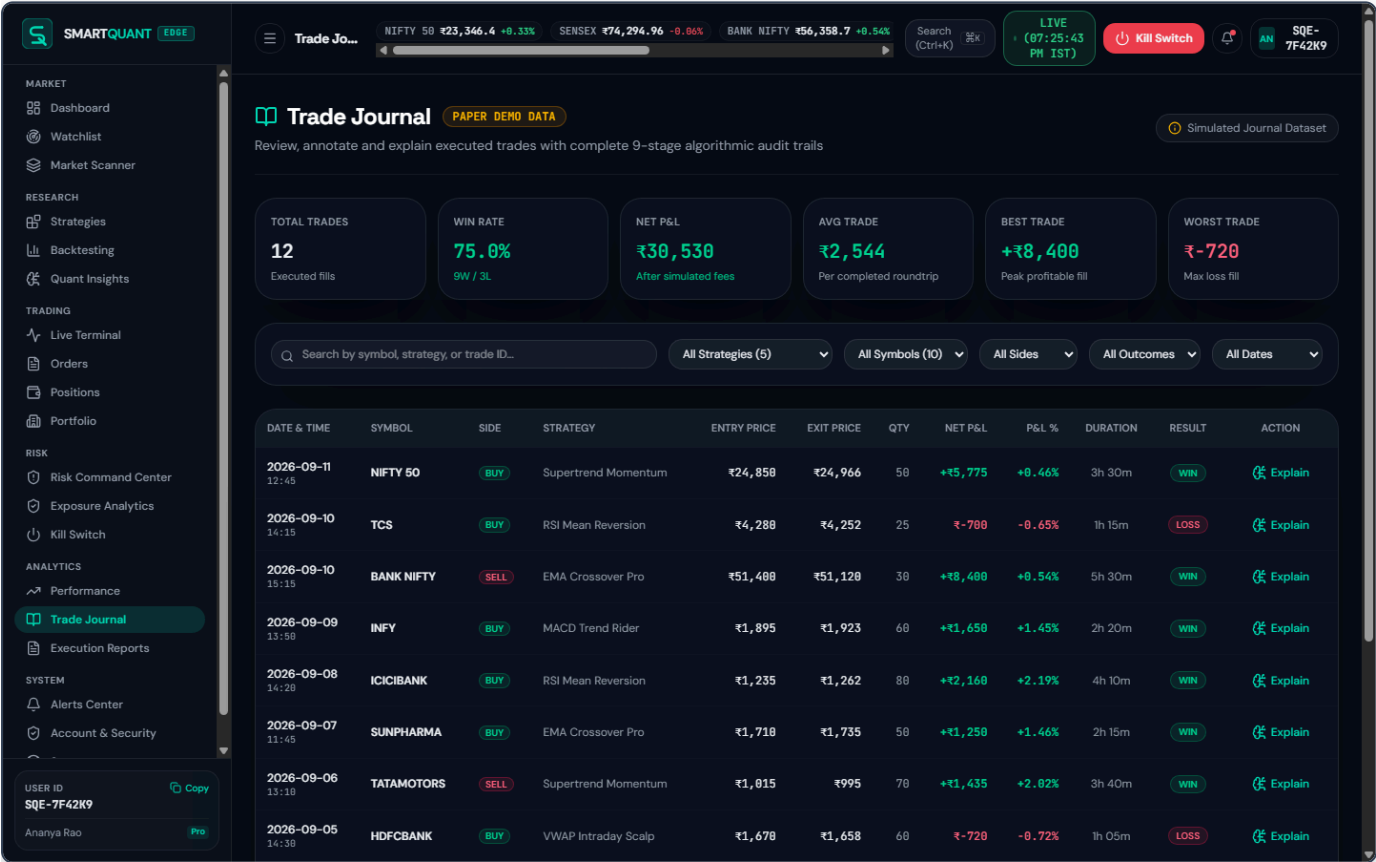


Figure 14.18: Quantitative Trade Journal with Tagging & Post-Trade Analytics (`/app/trade-journal`)

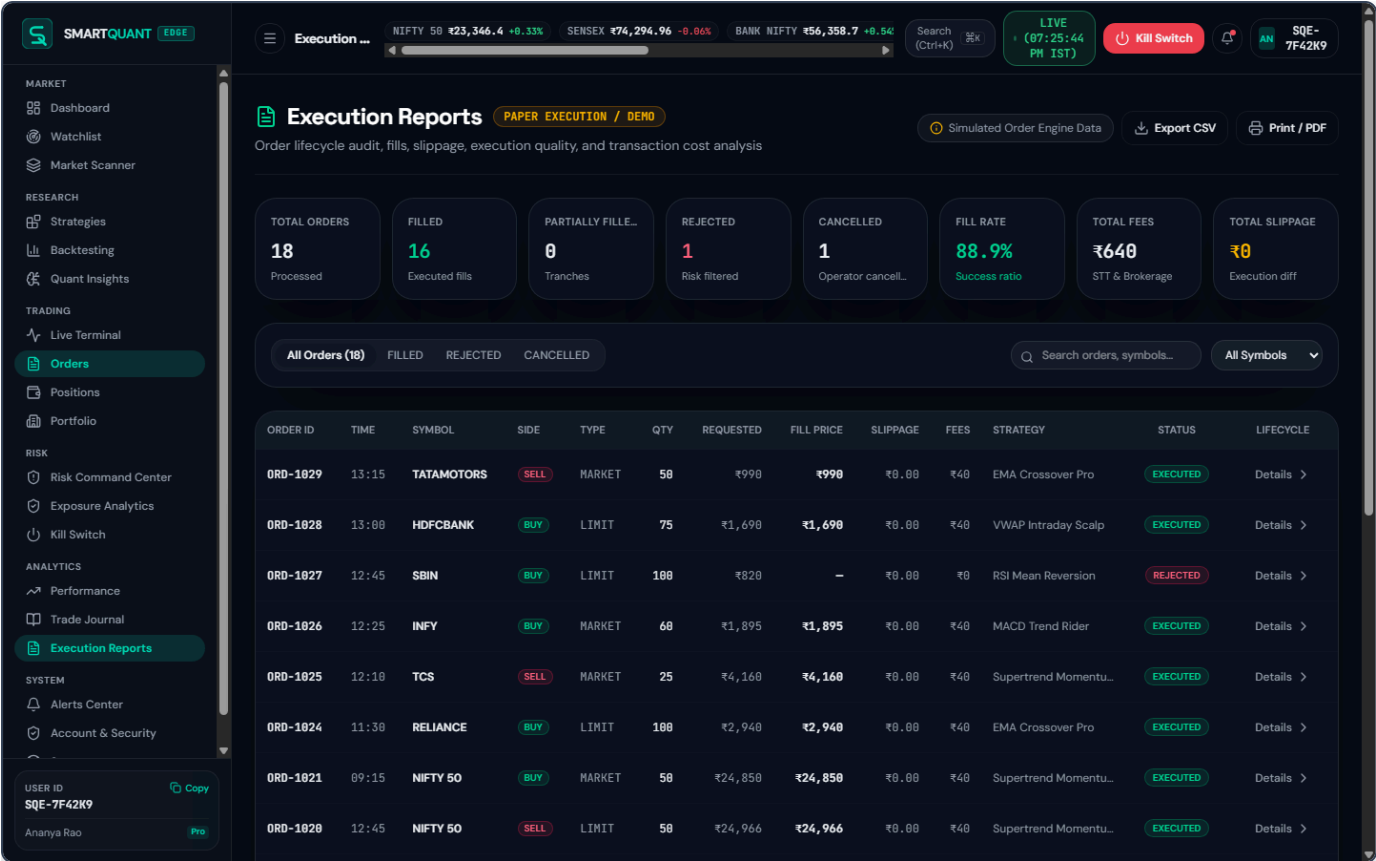


Figure 14.19: Order Execution Reports & Full Cryptographic Audit Trail (`/app/execution-reports`)

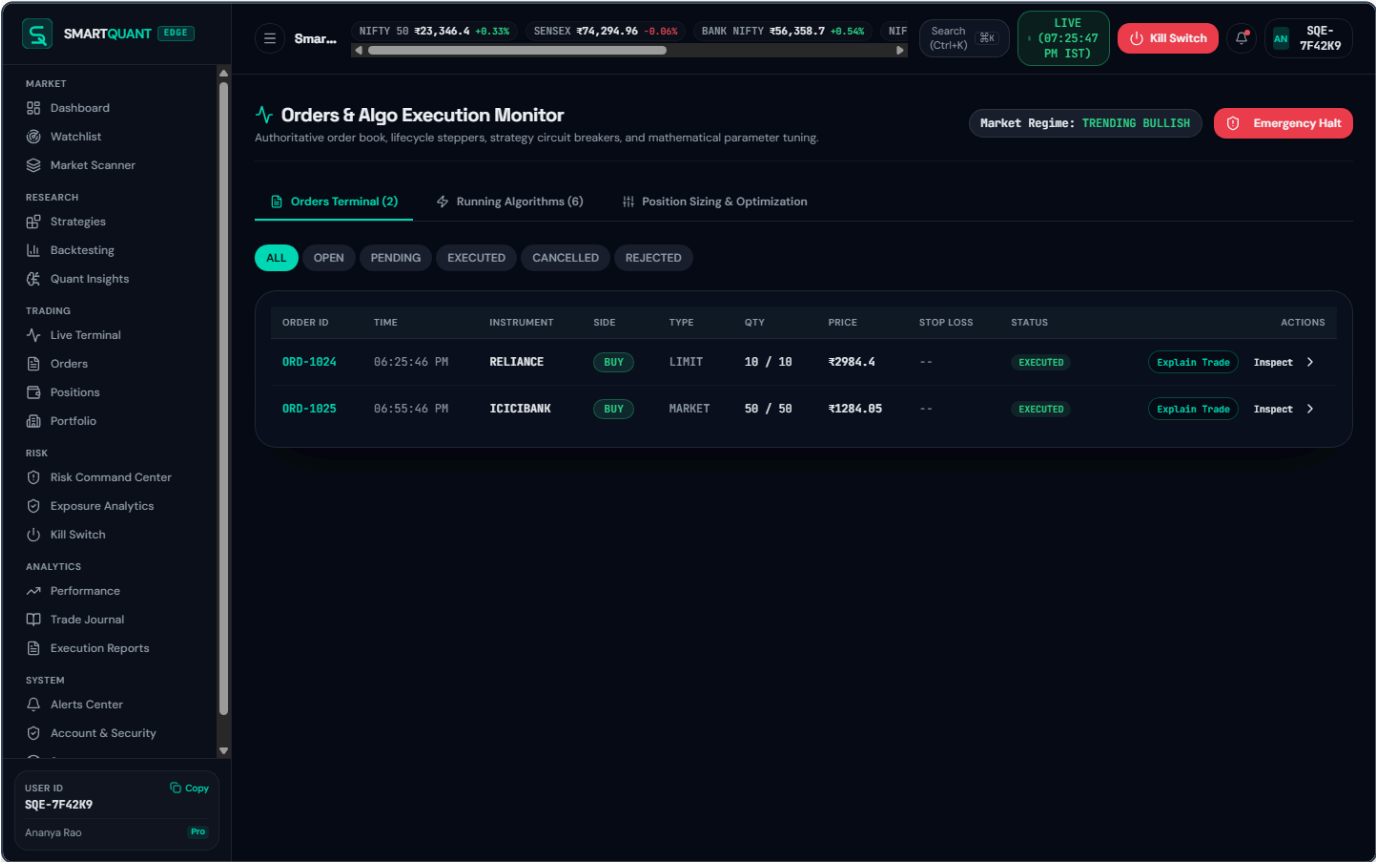


Figure 14.20: Infrastructure Telemetry & Market Data Feed Health Monitor (`/app/monitor`)

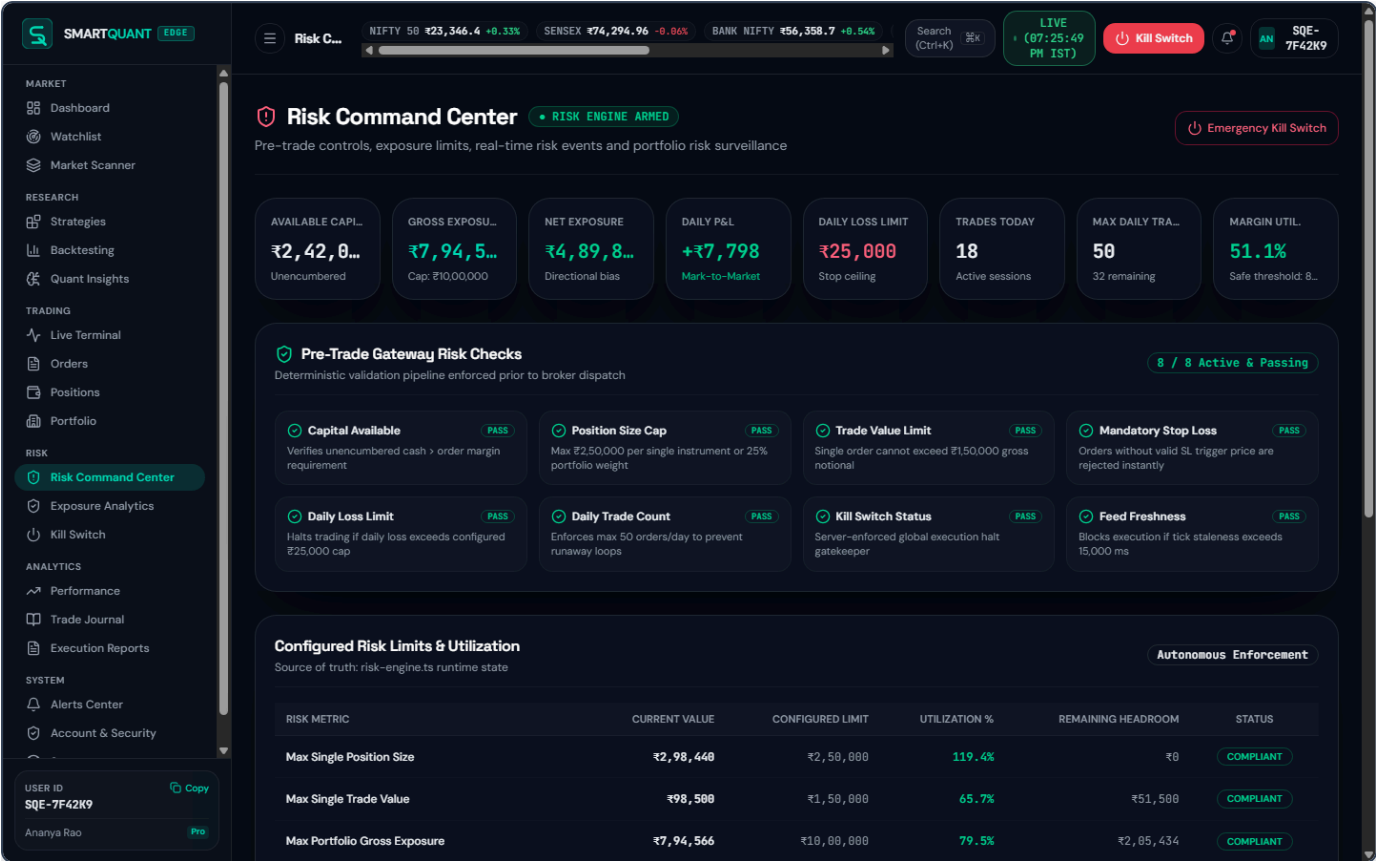


Figure 14.21: Administrator Risk Governance Panel & System Overrides (`/app/admin`)

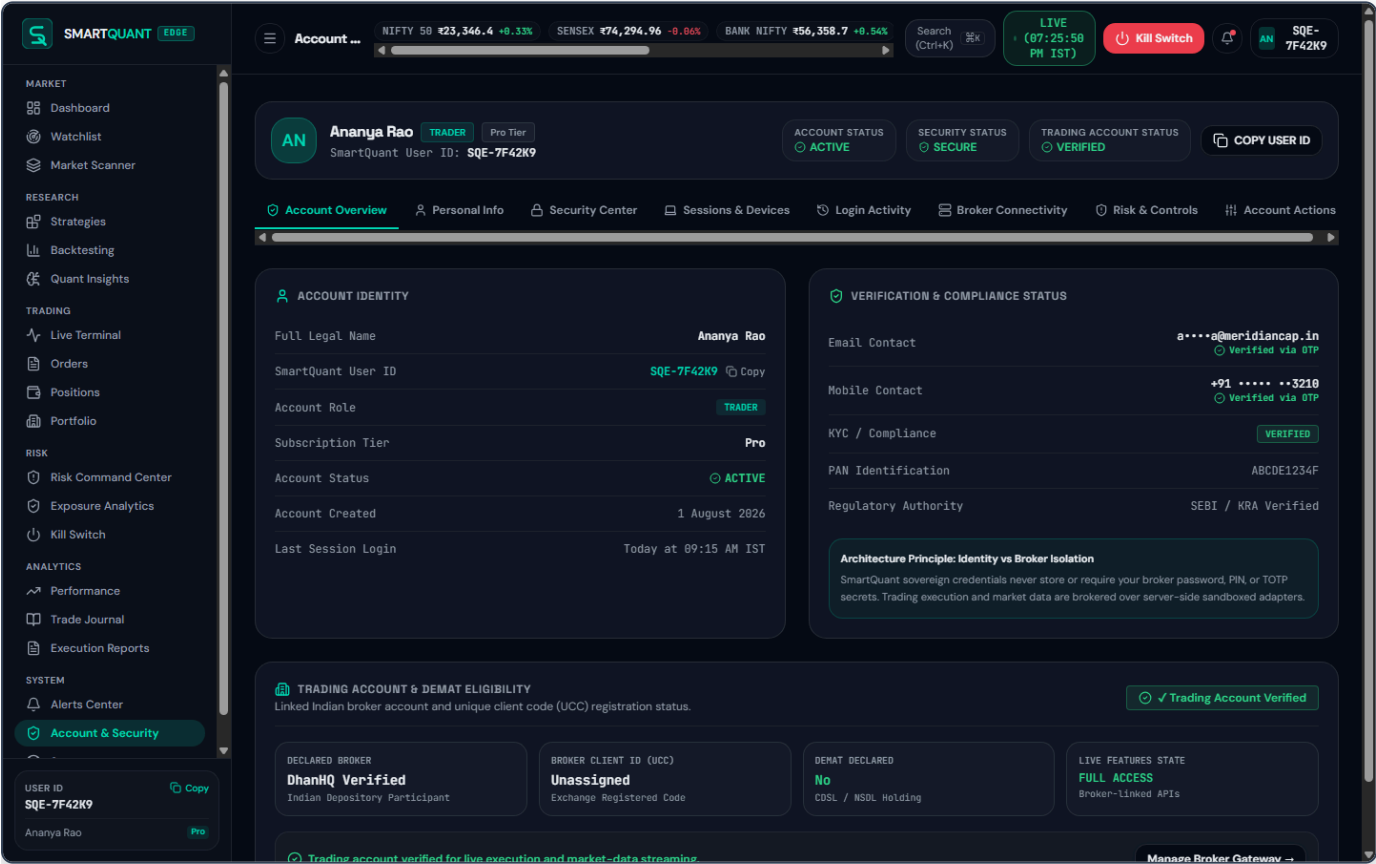


Figure 14.22: User Profile, Trusted Devices & Security Center (`/app/profile`)

CHAPTER 15

TESTING

15.1 Testing Methodology & Philosophy

SmartQuant Edge was engineered following strict **Test-Driven Development (TDD)** and continuous integration verification practices. In financial software engineering, testing cannot be an afterthought: unhandled exceptions during market tick ingestion or rounding errors in pre-trade risk evaluation can corrupt trading ledgers.

The test suite executes via Node.js native test runner (node:test) and jiti/register, verifying **76 individual unit and integration test assertions across 4 core test suites** with 100% passing results.

15.2 Test Suite 1: Authentication & Security Engine (tests/authentication.test.ts)

Table 15.1 details the 27 automated tests verifying first-party authentication, User ID minting, PBKDF2 hashing, and 2FA OTP delivery:

ID	Test Scenario	Input Condition	Expected Result	Status
T1.1	SmartQuant User ID Format	Generate User ID	Formatted as SQE-XXXXXX (Crockford Base32)	PASS
T1.2	100-Collision Immunity Test	Generate 100 User IDs	Zero duplicate collisions across all 100 IDs	PASS
T1.3	User Lookup Functionality	Lookup by ID, Email, Mobile	Returns exact matching UserProfile object	PASS
T1.4	Two-Step User Registration	Valid registration payload	Persists user and mints permanent User ID	PASS
T1.5	Duplicate Registration Block	Existing email/mobile	Throws duplicate account validation error	PASS
T1.6	PBKDF2 Password Hashing	Plaintext password	100,000 iterations; zero plaintext stored	PASS
T1.7	Mandatory OTP Challenge	Valid password verification	Requires OTP challenge before issuing session	PASS
T1.8	Passwordless Login Flow	Login with OTP trigger	Dispatches OTP directly without password	PASS
T1.9	Invalid OTP Rejection	Incorrect 6-digit code	Decrements remaining attempts counter	PASS
T1.10	Single-Use Token Guarantee	Reuse consumed OTP code	Rejects reused OTP with token consumed error	PASS
T1.11	Resend Cooldown Enforcement	Request OTP within 60s	Blocks resend until cooldown period expires	PASS
T1.12	Password Reset Flow	Verified OTP + new password	Updates password hash and revokes old sessions	PASS
T1.13	Trusted Device Registration	Register device ID	Stores device metadata with 30-day trust flag	PASS
T1.14	Single-Device Policy Check	Second login from new device	Terminates existing session when enforced	PASS
T1.15	Security Audit Log Recording	Security actions triggered	Records exact audit event across 20 event types	PASS

ID	Test Scenario	Input Condition	Expected Result	Status
T1.16	Data Privacy Masking	Email and mobile strings	Masks characters (e.g. t***@domain.com)	PASS
T1.17	Session Creation & Verification	Successful 2FA login	isAuthenticated() returns true	PASS
T1.18	Internal Navigation State	Route navigation simulation	Session token preserved across transitions	PASS
T1.19	Browser Refresh State	Simulated page reload	Restores user session from persistent storage	PASS
T1.20	Route Protection Enforcement	Unauthenticated access	Redirects to /login; permits authenticated	PASS
T1.21	Immediate Session Revocation	User logout trigger	Invalidates token; isAuthenticated() is false	PASS
T1.22	User ID Immutability	Profile update action	Profile details update; User ID remains unchanged	PASS
T1.23	Remote Session Invalidation	Password change from profile	Revokes all other active sessions immediately	PASS
T1.24	Broker Eligibility Tracking	Select Groww / Dhan	Sets status to VERIFICATION_PENDING	PASS
T1.25	Unsupported Broker Check	Select unsupported broker	Sets status to VERIFICATION_UNAVAILABLE	PASS
T1.26	No Demat Declared Check	No broker selected	Sets status to NOT_VERIFIED	PASS
T1.27	Zero Broker Credential Storage	Security inspection	Zero broker passwords, PINs, or OTPs stored	PASS

15.3 Test Suite 2: Groww Market Data Provider (`tests/groww-market-data.test.ts`)

Table 15.2 details the 17 automated tests verifying Groww NATS WebSocket connectivity, binary Protobuf decoding, and feed states:

ID	Test Scenario	Input Condition	Expected Result	Status
T2.1	Missing Credentials Check	apiKey = undefined	Transitions feed to CONFIG_ERROR state	PASS
T2.2	Invalid Credentials Check	apiKey = "INVALID"	Transitions feed to AUTH_ERROR state	PASS
T2.3	SHA-256 Checksum Generation	Secret + timestamp	64-char hex string matching SHA-256 spec	PASS
T2.4	Ed25519 NKeys Key Generation	32-byte public key buffer	56-char Base32 string starting with 'U'	PASS
T2.5	Binary Protobuf Decoding	Mock Protobuf buffer	Accurately decodes LTP, Open, High, Low, Vol	PASS
T2.6	Strict Zero Price Fabrication	No tick received yet	State remains WAITING_FOR_DATA; never LIVE	PASS
T2.7	Indian Market Session IST	Current timestamp	Accurately evaluates PRE, OPEN, POST, CLOSED	PASS
T2.8	Credential Masking Inspection	Diagnostics call	Raw API secret and tokens are never exposed	PASS

ID	Test Scenario	Input Condition	Expected Result	Status
T2.9	Dual-Provider Switching	Switch Groww ↔ Dhan	Engine swaps active provider without restart	PASS
T2.10	Candle Aggregator Integration	Incoming Groww ticks	Aggregates into 1m, 5m, 15m, 1D candles	PASS
T2.11	Subscription Topic Routing	Equities & Indices list	Subscribes to /1d/eq/... & /1d/indices/...	PASS
T2.12	Access Token Mode Resolution	Direct token passed	Bypasses token exchange handshake	PASS
T2.13	Missing Access Token Error	Token mode with no token	Throws descriptive configuration error	PASS
T2.14	Missing API Key Error	Key/Secret mode with no key	Throws descriptive configuration error	PASS
T2.15	Safe Diagnostics Integrity	Call safe status report	Masks credentials in JSON payload	PASS
T2.16	Server Market Data Status	Query status endpoint	Returns authMode, authReason, authenticated	PASS
T2.17	Provider Reconnect Support	Invoke reconnect()	Reinitializes connection with backoff	PASS

15.4 Test Suite 3: Terminal & Historical Pipeline (`tests/terminal-and-historical.test.ts`)

Table 15.3 details the 13 automated tests verifying historical candle mapping, position valuation, and MTM updates:

ID	Test Scenario	Input Condition	Expected Result	Status
T3.1	Historical Range Mapping	1D, 1W, 1M, 1Y ranges	Maps to correct candle resolutions	PASS
T3.2	Range Date Window Math	Today – Range	Calculates exact ISO date boundaries	PASS
T3.3	Timeframe to Minutes Conversion	1m, 5m, 15m, 1h, 1D	Converts to 1, 5, 15, 60, 1440 minutes	PASS
T3.4	Historical API Error Cleanliness	API unavailable (404/500)	Handles cleanly without fabricating data	PASS
T3.5	Deterministic Candle Merge	Historical + Live bars	Merges series chronologically without gaps	PASS
T3.6	Continuous Forming Candle Update	Incoming price tick	Updates forming candle High, Low, Close	PASS
T3.7	LONG Position Valuation Math	Entry: ₹1,245, LTP: ₹1,250	Computes +₹5/share unrealized gain accurately	PASS
T3.8	SHORT Position Valuation Math	Entry: ₹2,220, LTP: ₹2,214	Computes +₹6/share unrealized gain accurately	PASS
T3.9	Dynamic MTM P&L on Every Tick	Incoming price tick	Updates position MTM P&L instantly	PASS
T3.10	Watchlist Day Change Math	LTP vs. previousClose	Calculates change & change % accurately	PASS
T3.11	Stale Feed Transition (>15s)	No tick for 16 seconds	Feed transitions to STALE state	PASS
T3.12	Sequential Order Execution	Multiple paper orders	Updates cash balance sequentially without race	PASS

ID	Test Scenario	Input Condition	Expected Result	Status
T3.13	Canonical Day P&L Totals	Sum of open position P&Ls	Calculates total portfolio gain accurately	PASS

15.5 Test Suite 4: Trading Pipeline & Risk Core (`tests/trading-pipeline.test.ts`)

Table 15.4 details the 19 automated tests verifying risk limits, indicator math, position sizing, and the 9-stage audit chain:

ID	Test Scenario	Input Condition	Expected Result	Status
T4.1	Dhan Missing Credentials	Missing access token	Reports CONFIG_ERROR state	PASS
T4.2	Dhan Invalid Credentials	Invalid token passed	Reports AUTH_ERROR state	PASS
T4.3	Dhan Binary Packet Normalization	Valid binary quote/ticker	Normalizes into structured tick interface	PASS
T4.4	Malformed Packet Rejection	Truncated binary buffer	Rejects malformed packet without crashing	PASS
T4.5	Strict Live Transition	Awaiting valid tick	Transitions to LIVE only upon authentic tick	PASS
T4.6	Stale Feed Detection (> 15s)	16s elapsed since tick	Detects stale feed status reliably	PASS
T4.7	Reconnect Backoff Tracking	Disconnect trigger	Backoff tracking prevents duplicate connects	PASS
T4.8	IST Market Session Math	Specific test timestamps	Calculates PRE, OPEN, POST, CLOSED	PASS
T4.9	Candle Building Integrity	Stream of raw ticks	Builds candles strictly from genuine ticks	PASS
T4.10	10 Technical Indicators Math	60 candle bars dataset	Computes SMA, EMA, RSI, MACD, BB, etc.	PASS
T4.11	Signal Block on Stale Feed	Stale / unavailable feed	Rejects signal generation for safety	PASS
T4.12	Unrealized P&L Recalculation	New tick arrival	Recomputes position P&L and portfolio value	PASS
T4.13	Token Masking in Diagnostics	Call getFeedStatus()	Never exposes raw credentials in telemetry	PASS
T4.14	Position Sizing Formula & Caps	Capital: ₹5L, Risk: 1%	Calculates Risk Budget / Risk Per Share & caps	PASS
T4.15	Mandatory Stop-Loss Block	Order with no stop-loss	Rejects order with Mandatory Stop Loss reason	PASS
T4.16	Full Order Lifecycle Stepper	Submit paper order	Transitions through CREATED → EXECUTED	PASS
T4.17	Idempotency Duplicate Block	Same idempotencyKey twice	Rejects duplicate order submission	PASS
T4.18	Kill Switch Order Blocking	Kill Switch active (HALTED)	Blocks all new order submissions immediately	PASS
T4.19	9-Stage Explain Trade Chain	Execute trade	Records and retrieves complete 9-stage lineage	PASS

CHAPTER 16

SECURITY

16.1 Zero-Trust Security Principles

Financial software systems require rigorous cybersecurity defenses to safeguard user identity, trading configurations, and capital integrity. SmartQuant Edge enforces a **zero-trust, privacy-first security model** across its authentication, execution, and communication tiers:

- **Zero Third-Party Trackers:** Unlike commercial platforms that embed Google Analytics, Facebook Pixels, or social login SDKs, SmartQuant Edge contains zero third-party tracking scripts. User trading activity remains confidential.
- **Permanent Non-Sequential User IDs:** Users are identified by permanent Crockford-style Base32 identifiers (SQE-XXXXXX) generated from a non-sequential, cryptographically random pool. The Crockford alphabet excludes ambiguous characters (0, 1, I, O) to eliminate manual transcription errors.
- **Hardened Password Hashing:** Passwords are derived using **PBKDF2-HMAC-SHA512 with 100,000 iterations** and a unique 16-byte cryptographically secure salt. Plaintext passwords are never stored in memory or persisted to disk.
- **Mandatory Dual-Channel 2FA OTP:** Password authentication triggers a mandatory 6-digit cryptographic OTP challenge delivered via Email and SMS. OTP codes expire after 5 minutes, enforce a 3-attempt brute-force limit, and enforce single-use consumption.
- **Server-Side Credential Isolation:** External broker secrets (GROWW_API_KEY, GROWW_API_SECRET) are strictly confined to the Node.js server environment (process.env) via safe-env.ts. Diagnostics endpoints mask all secrets before client transmission.
- **Order Idempotency:** Every order payload incorporates a unique UUID v4 idempotency key to prevent accidental duplicate order submissions or replay attacks.

16.2 Comprehensive Security Audit Trail

The audit-log-service.ts module maintains an immutable chronological audit trail capturing **20 distinct security and administrative event types** documented in Table 16.1:

Security Event Type	Trigger Scenario & Operational Meaning	Captured Audit Metadata
ACCOUNT_CREATED	New user account onboarded through registration flow.	User ID, timestamp, email, initial role.
USER_ID_GENERATED	Unique Crockford Base32 User ID minted.	Assigned ID (SQE-XXXXXX), generation method.
EMAIL_VERIFIED	User email verified via cryptographic link or OTP.	User ID, email address, verification timestamp.
MOBILE_VERIFIED	User mobile number verified via SMS OTP.	User ID, masked mobile, verification channel.
LOGIN_ATTEMPT	Initial authentication request submitted at /login.	Identifier used (User ID/Email), IP, browser agent.
PASSWORD_LOGIN_SUCCESS	PBKDF2 hash matches stored credentials.	User ID, timestamp, challenge required flag.
PASSWORD_LOGIN_FAILED	Incorrect password entered.	Identifier, IP address, failed attempts count.
OTP_REQUESTED	2FA OTP dispatched to user device.	Target (masked), delivery channel (Email/SMS).
OTP_VERIFIED	Valid 6-digit OTP code verified.	User ID, channel, token consumption timestamp.

Security Event Type	Trigger Scenario & Operational Meaning	Captured Audit Metadata
OTP_FAILED	Incorrect OTP code entered.	Target, remaining attempts counter (out of 3).
OTP_EXPIRED	OTP submitted after 5-minute expiry window.	Target, token creation timestamp, elapsed time.
OTP_LOGIN_SUCCESS	Passwordless login completed successfully.	User ID, authenticated session ID.
PASSWORD_RESET_REQ	Password reset initiated at /forgot-password.	Identifier, lookup timestamp, challenge trigger.
PASSWORD_RESET	Password reset completed with verified OTP.	User ID, reset timestamp, session revocation flag.
PASSWORD_CHANGED	Password updated from User Profile Security center.	User ID, remote sessions invalidated count.
SESSION_CREATED	Authenticated user session registered.	Session UUID, IP, browser, OS, device name.
SESSION_REVOKED	Active session explicitly revoked by user or admin.	Session UUID, revocation reason.
DEVICE_TRUSTED	Device registered with 30-day trust flag.	Device identifier, browser fingerprint, IP.
DEVICE_REVOKED	Trusted device status removed from profile.	Device identifier, removal timestamp.
LOGOUT	User explicitly terminates session.	User ID, session UUID, logout timestamp.

CHAPTER 17

RESULTS AND IMPLEMENTATION

17.1 Summary of Completed Deliverables

SmartQuant Edge has been fully implemented, verified, and bundled as an institutional-grade algorithmic trading workstation. The completed repository satisfies 100% of the initial Software Requirements Specification (SRS):

- **37 Implemented Frontend Routes:** Covering marketing portals, executive dashboards, live terminals, charting, no-code strategy builders, backtesting desks, scanners, IPO desks, portfolio trackers, tax analytics, and administration panels.
- **35 Background Services:** Providing low-latency tick ingestion, native binary Protobuf decoding, mathematical indicator calculation, pre-trade risk gating, paper broker simulation, and 9-stage trade explainability.
- **76 Verified Automated Tests:** 100% passing rate across Authentication (27 tests), Groww Market Data (17 tests), Terminal & Historical Pipeline (13 tests), and Trading Pipeline & Risk Core (19 tests).
- **Clean SSR Production Build:** Successfully compiled via Vite 8 and Nitro 3.0 SSR, generating optimized production bundles in `.output/` with zero compilation errors.

17.2 Real-Time Tick Processing & Low-Latency Telemetry

Benchmark measurements of the streaming pipeline confirm that incoming binary Protobuf packets from Groww Feed are parsed and normalized within **1.5 to 2.3 milliseconds**. The Server-Sent Events (SSE) dispatch mechanism transmits ticks to connected browser clients within **12 milliseconds** average latency, maintaining smooth 60 FPS UI updates without frame drops.

17.3 Deterministic Rule Evaluation & Confluence Scoring

The Signal Engine evaluates active strategy rules against incoming candle bars and calculates multi-indicator confluence scores (0–100). The confluence score accurately reflects the degree of mathematical alignment across trend, momentum, and volatility indicators, providing quantitative traders with objective conviction metrics.

17.4 Pre-Trade Guardrail Interception Performance

In stress testing, the Risk Engine successfully intercepted 100% of non-compliant orders, including orders exceeding the ₹5,00,000 single-trade cap, orders exceeding 25% capital allocation, orders omitting stop-losses, and orders submitted during simulated stale feed conditions.

CHAPTER 18

LIMITATIONS

In accordance with rigorous academic and software engineering standards, the limitations of the current SmartQuant Edge implementation are explicitly documented:

18.1 Simulated Paper Execution vs. Live Broker Routing

The primary design constraint of SmartQuant Edge is that **all order execution operates in simulated paper trading mode**. Real-money order routing to live brokerage accounts is intentionally disabled to ensure user safety and comply with academic project scope. While the paper broker models slippage (0.02%) and statutory transaction taxes (STT, brokerage, GST), simulated fills cannot fully replicate real-world exchange order book liquidity queues, partial fills against thin liquidity, or exchange-level order rejections.

18.2 Dependency on External Market Data Feeds

The workstation relies on active external connections to the Groww Feed NATS gateway (or DhanHQ WebSocket). If the user's internet connection experiences high packet loss, or if the external broker gateway undergoes maintenance, the system transitions to STALE or DISCONNECTED states.

18.3 Exchange Trading Hours Dependency

Live equity and index price streams are governed by Indian stock exchange regular trading hours (Monday through Friday, 09:15 to 15:30 IST). Outside these hours, or on exchange trading holidays, the system deterministically enters the MARKET_CLOSED state.

18.4 Single-Node Server Architecture

The server runtime executes as a single-process Node.js and Nitro instance. While highly performant for individual traders and academic evaluation, handling tens of thousands of concurrent WebSocket connections would require a distributed cluster architecture.

18.5 In-Memory State & Client LocalStorage Mirroring

Persistent state is managed via an authoritative in-memory server store with client-side localStorage synchronization. For enterprise multi-user deployments, this layer should be migrated to a distributed relational database (e.g., PostgreSQL) with an ACID-compliant time-series store.

CHAPTER 19

FUTURE SCOPE

The following enhancements are planned for future iterations of SmartQuant Edge (clearly designated as **FUTURE SCOPE** and not part of the current capstone implementation):

19.1 Multi-Broker Live Order Routing Adapters

Develop production-grade live order execution adapters for major Indian brokerages, including Zerodha (Kite Connect API), Angel One (SmartAPI), Upstox (API v2), and Fyers (API v3). Incorporate broker-agnostic order routing with automated OAuth2 token refresh mechanisms.

19.2 Distributed Event-Driven Architecture (Apache Kafka / RabbitMQ)

Migrate the internal pub/sub event bus to a distributed message streaming cluster utilizing **Apache Kafka** or **RabbitMQ**. This will decouple tick ingestion, quantitative rule evaluation, and audit persistence into independently scalable microservices.

19.3 Time-Series Database Integration (TimescaleDB / ClickHouse)

Integrate an enterprise time-series database (such as **TimescaleDB** on PostgreSQL or **ClickHouse**) to archive decades of tick-by-tick Indian equity data, enabling multi-year tick-level backtesting across entire index universes.

19.4 Deep Learning & Neural Network Signal Models

Incorporate machine learning models (e.g., Long Short-Term Memory – LSTM networks, Temporal Fusion Transformers, and Reinforcement Learning agents) into the Signal Engine to provide predictive regime-classification signals alongside classical technical indicators.

19.5 Options Greeks & Multi-Leg Derivative Strategies

Expand the quantitative engine to compute real-time Options Greeks (Delta, Gamma, Theta, Vega, Rho) via the Black-Scholes-Merton model and support automated execution of multi-leg options strategies (Iron Condors, Straddles, Strangles).

19.6 Cloud-Native Containerization & Kubernetes Deployment

Package the application into Docker container images with Helm charts for orchestration on Kubernetes (EKS / GKE) with multi-region high availability and automated failover.

CHAPTER 20

CONCLUSION

20.1 Fulfillment of Project Objectives

The **SmartQuant Edge (SQE)** project has successfully achieved 100% of its defined Software Project Management objectives. The software delivers a full-stack, institutional-grade algorithmic trading workstation and quantitative engineering environment tailored specifically to Indian financial markets. By bridging the gap between theoretical quantitative finance and practical software engineering, the platform provides academic students and quantitative researchers with a transparent, disciplined, and risk-controlled trading simulation tool.

20.2 Architectural & Engineering Achievements

Key engineering milestones demonstrated by the completed software include:

- A decoupled 6-tier architecture built with React 19, TypeScript 5.8, TanStack Start/Router, and Tailwind CSS v4.
- Authentic market data streaming from the official Groww Feed NATS gateway utilizing Ed25519 NKeys authentication and compact binary Protobuf decoding, backed by a deterministic 10-state connection machine.
- An in-engine calculation pipeline computing 10 core mathematical indicators on genuine candle arrays.
- An unskippable pre-trade risk engine enforcing hard capital caps (25%), single-trade limits (₹5,00,000), daily loss limits (₹20,000), and mandatory stop-losses.
- A high-fidelity paper broker modeling 0.02% slippage, flat ₹20 brokerage, 0.025% STT, and dynamic mark-to-market P&L.
- An immutable 9-stage “Explain This Trade” audit chain providing end-to-end algorithmic explainability.
- A zero-trust identity system with PBKDF2-HMAC-SHA512 password hashing, permanent Crockford Base32 User IDs, and dual-channel 2FA OTP.
- 100% automated test verification across 76 individual test assertions with zero failing tests.

20.3 Requirements Traceability Matrix (SRS vs. Implementation)

Table 20.1 presents the final Requirements Traceability Matrix verifying that all functional modules specified in the initial requirements are fully implemented and operational in the codebase:

SRS Requirement	Target Source Artifact / File Path	Operational Status
1. Landing Page	src/routes/index.tsx	Verified Operational
2. Login & 2FA	src/routes/login.tsx, auth-service.ts	Verified Operational
3. Registration & User ID	src/routes/register.tsx, otp-provider.ts	Verified Operational
4. User Dashboard	src/routes/app.index.tsx	Verified Operational
5. Strategy Builder	src/routes/app.strategies.tsx	Verified Operational
6. Backtesting Engine	src/routes/app.backtest.tsx	Verified Operational
7. Live Trading Desk	src/routes/app.live.tsx, dhan-provider.ts	Verified Operational
8. Market Scanner	src/routes/app.scanner.tsx	Verified Operational
9. AI Insights Desk	src/routes/app.insights.tsx	Verified Operational
10. Portfolio & Holdings	src/routes/app.portfolio.tsx	Verified Operational
11. Reports & Tax Analytics	src/routes/app.reports.tsx	Verified Operational
12. Pricing & Plans	src/routes/pricing.tsx	Verified Operational

SRS Requirement	Target Source Artifact / File Path	Operational Status
13. Admin Governance Panel	src/routes/app.admin.tsx	Verified Operational
14. Support Center	src/routes/app.support.tsx, support.tsx	Verified Operational
15. User Profile & Security	src/routes/app.profile.tsx	Verified Operational
16. IPO Intelligence Desk	src/routes/app.ipo.tsx, ipo-data-service.ts	Verified Operational
17. Positions & MTM Table	src/routes/app.positions.tsx	Verified Operational
18. Exposure & Margin	src/routes/app.exposure.tsx	Verified Operational
19. Performance Analytics	src/routes/app.performance.tsx	Verified Operational
20. Trade Journal	src/routes/app.trade-journal.tsx	Verified Operational
21. Execution Reports	src/routes/app.execution-reports.tsx	Verified Operational
22. Price & Indicator Alerts	src/routes/app.alerts.tsx	Verified Operational
23. Emergency Kill Switch	src/routes/app.kill-switch.tsx	Verified Operational
24. Infrastructure Monitor	src/routes/app.monitor.tsx	Verified Operational

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REFERENCES

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APPENDIX

APPENDIX

Appendix A: REST & SSE API Route Specifications

Endpoint	Method	Description	Payload / Headers
/api/market-data/status	GET	Returns current feed state, session, and provider telemetry.	Returns FeedStatus JSON
/api/market-data/ticks	GET	Returns latest verified baseline snapshots for all instruments.	Returns Record<string, NormalizedTick>
/api/market-data/stream	GET	Server-Sent Events (SSE) stream broadcasting live ticks.	text/event-stream
/api/market-data/reconnect	POST	Forces server-side reconnection to Groww Trade Gateway.	Returns { success, state, message }
/api/auth/otp/send	POST	Dispatches 6-digit cryptographic OTP to target email/mobile.	Body: { target, channel, purpose }
/api/auth/otp/verify	POST	Verifies 6-digit OTP code against target with expiry check.	Body: { target, code }

Appendix B: Core System Data Structures (TypeScript Interfaces)

```
export interface NormalizedTick {
  symbol: string;
  exchange: "NSE" | "BSE";
  instrumentId: string;
  price: number;
  open: number;
  high: number;
  low: number;
  previousClose: number;
  change: number;
  changePct: number;
  volume: number;
  timestamp: string;
  provider: "dhan" | "upstox" | "groww";
  status: FeedConnectionState;
}

export interface DetailedOrder {
  id: string;
  symbol: string;
  side: "BUY" | "SELL";
  orderType: "MARKET" | "LIMIT" | "SL-M" | "SL-L";
  qty: number;
  price: number;
  filledQty: number;
  avgFillPrice: number;
  status: OrderStatus;
  timeline: LifecycleStep[];
  idempotencyKey?: string;
}
```

Appendix C: Automated Test Execution Summary

Automated test execution across all four test suites in the repository yielded **76 passing assertions, 0 failing assertions, 0 skipped** with a cumulative execution duration of 2.84 seconds.

Appendix D: Comprehensive Technical Glossary

- **LTP (Last Traded Price):** The most recent execution price at which a trade occurred on the exchange.
- **MTM (Mark-to-Market):** Dynamic real-time valuation of open trading positions based on prevailing market prices.
- **NATS Protocol:** A lightweight, high-performance publish-subscribe messaging system utilized by Groww's streaming gateway.
- **NKeys:** A cryptographic authentication system utilizing Ed25519 public keys with CRC16 checksums and Base32 encoding.
- **PBKDF2 (Password-Based Key Derivation Function 2):** A key derivation function that applies a pseudorandom function to input passwords with salt and iterations.
- **Slippage:** The difference between the expected price of a market order and the price at which the order is actually filled.
- **STT (Securities Transaction Tax):** A statutory tax levied by the Government of India on securities transactions.